

1 Property, plant and equipment



Section overview

IAS 16, *Property, Plant and Equipment* provides guidance on the accounting treatment of non-current tangible assets.

1.1 What is property, plant and equipment?



Definition

Property, plant and equipment (PPE): Tangible items that are both:

- held for use in the production or supply of goods or services, for rental to others or for administrative purposes; and
- expected to be used during more than one period.

In practice this definition causes few problems. Property, plant and equipment (PPE) includes, for example, land and buildings, plant and machinery, motor vehicles, office equipment and forms the major part of assets of certain types of business, such as manufacturing and transport businesses.

1.2 Non-current v current

The main issue arising is whether the **assets are held for use in the company's activities** or intended for resale.

For example, cars held for resale by a motor dealer are inventories (a current asset) whereas cars held for use by employees on company business are PPE.

1.3 IAS 16, *Property, Plant and Equipment*

The objective of IAS 16 is to set out in relation to PPE the accounting treatment for:

- the recognition of assets;
- the determination of their carrying amounts; and
- the depreciation charges and impairment losses relating to them.

This provides the users of financial statements with information about an entity's investment in its PPE and changes in such investments.

IAS 16 should be followed when accounting for PPE **unless** another IFRS Standard requires a **different** treatment eg, IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

1.4 Underlying principles

The key elements in financial statements, identified in the *Conceptual Framework*, which are relevant to PPE are:

Assets	An asset is a present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.
---------------	--

Income	Income is increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims.
Expenses	Expenses are decreases in assets, or increases in liabilities, that result in decreases in equity, other than those related to distributions to holders of equity claims.

The income and expenses here relate to the subsequent depreciation, revaluation, impairment and disposal of PPE.

2 Recognition of property, plant and equipment (PPE)



Section overview

- Items of PPE should be recognised where it is probable that future economic benefits will flow to the entity and their cost can be measured reliably.
- Subsequent costs:
 - Repairs and maintenance expenditure should not be capitalised.
 - Replacement parts should be capitalised.
- Items of PPE may be separated into components, each with a separate useful life.

2.1 Recognition

In this context, recognition simply means incorporation of the item in the entity's financial statements, in this case as a non-current asset. The recognition of PPE depends on two criteria both of which must be satisfied.

- It is probable that future economic benefits associated with the item will flow to the entity.
- The item's cost can be measured reliably.

Notes

- 1 The asset is not defined in terms of the tangible item of PPE (eg, a building or a piece of production machinery) but in terms of the **economic benefits flowing from it**. Components acquired for obligatory safety or environmental reasons can be treated as part of the cost of an item of PPE because they enable the item of PPE to continue in operation, thereby enabling the asset to generate economic benefits. Legal ownership of an item of PPE is not necessary, as long as the economic benefits flowing from it are enjoyed. An item held under a lease arrangement (with limited exceptions – see Chapter 7) is recognised as an asset of the user of the item.
- 2 There is **no definition of what constitutes an 'item of PPE'**. It will be for each entity to develop its own definitions. It will be straightforward to decide that an individual motor vehicle should constitute an item. But when it comes to a blast furnace, should that be a single item or several items? Equally it may be appropriate to aggregate individually insignificant items such as tools.
- 3 The **recognition criteria must be applied at any time over the life of the item of PPE when expenditure on it is incurred**; they are not only applied on the initial acquisition or construction of the item.

2.2 Subsequent costs

In terms of costs incurred subsequently to add to, replace part of, or service the item, the practical application is that:

- **Repairs and maintenance expenditure should be recognised in profit or loss as incurred**, because it **is not probable** that there will be future economic benefits flowing from it, over and above the benefits flowing from the cost originally recognised when the item was first acquired.
- **Replacement parts should be capitalised, provided the original cost of the items they replace is derecognised (ie, treated as disposed of) at the time of the replacement.**

IAS 16 gives the example of a blast furnace which may require relining after a specified number of hours of use. The existing lining is derecognised and the new lining is capitalised and depreciated, separately from the body of the furnace, over its useful life.

Another example is parts of an aircraft, such as seats or engines, which may require replacement several times over the life of the airframe.

2.3 Separate components

A large or complex asset may be separated into its **separate components**, with **separate lives**. These components are then **depreciated separately** (see section 6 below), over their individual useful life rather than over the useful life of the bigger asset.

This component approach is also **applied where regular major inspections of an asset are a condition of continuing to use it**. The cost of each inspection is treated as a separate item of PPE and recognised in profit or loss over the period to the next inspection. If no separate inspection cost was incurred on original acquisition, an allocation of original cost to the inspection may be made by reference to the estimated cost of the first actual inspection.

For instance, a firm **operates lorries** which have to pass an inspection every six months. If a new vehicle is CU20,000, including an initial inspection, and the cost of an inspection is CU3,000, then CU17,000 of the cost will be allocated to the actual vehicle and CU3,000 to the initial inspection. This CU3,000 will be written off over the next six months and the CU3,000 paid when the next inspection takes place will be capitalised and written off over the following six months.

3 Measurement of property, plant and equipment (PPE) at recognition



Section overview

- PPE should be **measured at cost at recognition**.
- Elements of cost include:
 - purchase price
 - directly attributable costs
 - estimate of dismantling and site restoration costs
- Cost is measured as:
 - purchase price plus directly attributable costs; or
 - fair value if **PPE items are exchanged**.

3.1 Measurement at recognition

An item of PPE qualifying for recognition is initially measured at its **cost**.



Definition

Cost: This is the amount of cash or cash equivalents paid or the fair value of the other consideration given to acquire an asset at the time of its acquisition or construction.

3.2 Elements of cost of property, plant and equipment

The cost of a PPE item comprises:

- **purchase price**, including all non-recoverable duties and taxes but net of trade discounts;
- costs **directly attributable to bringing the asset to the location and condition** necessary for it to be capable of operating in the manner intended by the management; and
- the initial estimate of **dismantling and site restoration costs**.

Directly attributable costs include:

- **employee benefits** arising directly from construction or acquisition of the item; and
- **site preparation, delivery, installation and assembly costs, costs of testing whether the asset is functioning as expected, and professional fees** (eg, legal costs and architects' fees).

But note that certain costs associated with the item cannot be included in its cost:

- Some **costs are excluded** because they are **not directly attributable to the item**. Examples include:
 - the costs of opening a new facility
 - the cost of introducing new products
 - the cost of conducting business in a new location or with a new class of customer
 - administration and general overhead costs
- **Capitalisation ceases when the item is capable of operating in the manner intended**. Costs incurred after this date have to be **excluded**. Examples include:
 - costs incurred when the item is not yet in use or is operated at less than full capacity
 - operating losses while demand for the output builds up (eg, a new hotel)
 - reorganisation costs

Notes

- 1 **Costs of testing would include, for** example, flight testing a new aircraft and testing for the satisfactory operation of a new plant.
- 2 Items may be produced in **the process of bringing PPE to the location and condition** necessary for it to be capable of operating as expected. Any proceeds raised on the sale of such items are presented in profit or loss in the period they are earned. Any costs associated with producing those items are also presented in profit or loss and are measured in accordance with IAS 2, *Inventories*.
- 3 Where activities are undertaken that are incidental to the development of the PPE item, any revenue and expenses are recognised in profit or loss, not taken into account in arriving at the cost of the item.
- 4 Where, as a result of the acquisition of an item of PPE, an obligation arises to dismantle it at the end of its useful life and/or to restore its site, then the present value of that obligation

must be provided for as a liability at the same time as the asset is recognised (eg, a provision for decommissioning costs of nuclear power stations or the mandatory remediation of environmental damage). We will look at this issue again in Chapter 9.

- 5 In the case of self-constructed assets; **internal profits and abnormal costs** (eg, those relating to design errors, wasted resources or industrial disputes) are excluded from cost; and **interest costs incurred during the course of construction are capitalised under IAS 23, Borrowing Costs**, where they are eligible for capitalisation.



Interactive question 1: Measuring cost

A business incurs the following costs in relation to the construction of a new facility and the introduction to the market of its output:

	CU
Site preparation	400,000
Net income while site used as a car park, before construction commencing	(50,000)
Materials used, inclusive of CU0.3 million recoverable VAT	2,000,000
Labour costs, inclusive of CU0.5 million incurred when a labour dispute meant that no construction work was carried out	4,000,000
Testing of facility's processes	300,000
Sale of by-products produced as part of testing process	(60,000)
Consultancy fees re installation and assembly	500,000
Professional fees	450,000
Opening of facility	100,000
Overheads incurred:	
- Construction	800,000
- General	600,000
Relocation of staff to new facility	350,000

The following estimates have been made:

- (1) The cost of having to dismantle the facility at the end of its useful life (discounted to present value) of CU750,000.
- (2) The facility has passed an initial safety inspection, the cost of which is subsumed within other costs. The next inspection is due in three years and thereafter every three years. The cost of each future inspection is estimated at CU150,000.
- (3) While the overall life of the facility is 20 years, 40% of the costs other than those of safety inspections relate to items that will need replacing in eight years.

Requirement

Identify the total cost of the facility in accordance with IAS 16 and allocate it over the facility's components. Fill in the proforma below.

Site preparation
 Net income while site used as a car park
 Materials used
 Labour costs
 Testing of facility's processes
 Net proceeds on sale of by-products
 Consultancy fees re installation and assembly
 Professional fees
 Opening of facility
 Overheads incurred
 Construction
 General
 Relocation of staff to new facility
 Cost of dismantling facility

Allocated to components:

Safety inspection
 To be replaced in eight years
 Remainder

See **Answer** at the end of this chapter.

3.3 Measurement of cost

Cost is measured as the **cash price at the time of recognition or the fair value of other consideration provided**. The cash price is **discounted** if payment is deferred beyond normal credit terms.

Where there is an **exchange of items of PPE** such that there is no cash price, cost should be measured at **fair value**.

The **exception** to this is where:

- the exchange transaction lacks **commercial substance**, for example where the risk, timing and amount of the cash flows of the asset received differs from the risk, timing and amount of the cash flows of the asset transferred; or
- the **fair value** of neither asset exchanged can be **measured reliably**.
 In this case the asset is measured at the **carrying amount** of the asset given up.

4 Borrowing costs



Section overview

- Under IAS 23, *Borrowing Costs* certain borrowing costs form part of the cost of a qualifying asset.
- Only the borrowing costs directly attributable to the acquisition/construction/production of the asset should be capitalised.
- If the funds used for the acquisition etc, are the general funds of the business, a weighted average borrowing cost should be calculated.
- IAS 23 lays down requirements for the commencement and cessation of capitalisation of borrowing costs.

4.1 Introduction

If an entity constructs a substantial asset either for use itself or for resale, it is likely that additional funds in the form of loan capital will be required in order to finance the construction. The finance cost of these additional funds is a cost of the construction of the asset, in the same way that materials and labour are costs of the construction of the asset.

The question is therefore whether these finance costs incurred should be:

- recognised as an expense in profit or loss; or
- recognised as part of the cost of the asset carried in the statement of financial position.

Where borrowings have been acquired **specifically to finance the construction of a qualifying asset**, a direct cost is incurred that would have been avoided had the construction not taken place. It therefore seems reasonable that the financing cost associated with such borrowings should form **part of the cost of the asset**, as are other costs incurred in the construction process. IFRS Standards **require this treatment for all 'directly attributable' borrowing costs**.

'Directly attributable' borrowing costs should therefore be recognised as part of the cost of the asset and not treated as an expense in profit or loss.

4.2 IAS 23 core principle

Borrowing costs that are directly attributable to the acquisition, construction or production of a **qualifying asset** form part of the cost of that asset. Other borrowing costs are recognised as an expense.



Definition

Qualifying asset: An asset that necessarily **takes a substantial period of time to get ready** for its intended use or sale.

This could cover:

- property, plant and equipment
- investment properties under construction
- inventories (such as construction of an aeroplane for sale)
- intangible assets

The definition **excludes** an asset which is ready for use or sale at the time it is acquired.

Note: An entity is not required to apply IAS 23 to borrowing costs directly attributable to the acquisition, construction or development of: assets which on initial recognition are measured at fair value; or inventories that are manufactured or produced in large quantities on a repetitive basis even if they take a substantial period of time to get ready for use or sale.

4.3 Borrowing costs to be capitalised



Definition

Borrowing costs: Interest and other costs that an entity incurs in connection with the borrowing of funds.

This definition includes:

- interest expense, calculated using the effective interest method as described in IFRS 9, *Financial Instruments* (see Chapter 8);
- finance charges in respect of leases; and
- exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs.

However, only borrowing costs which are **directly attributable** to the acquisition, construction or production of the qualifying asset should be capitalised; these are the borrowing costs which would have been avoided if the expenditure on the qualifying asset had not been made.

If funds are borrowed specifically for the construction:

- the borrowing costs can be readily identified; and
- if the funds are not all required immediately and some are invested, the borrowing costs capitalised should be reduced by the investment income received on the excess funds.



Context example: Specific funds

An entity borrowed CU1 million at 7.5% pa in order to finance the construction of a new building which would take 12 months to complete. As stage payments were to be made in respect of the construction costs, surplus funds were invested and during the 12-month period interest income of CU35,000 was earned.

Borrowing costs to be capitalised = $(\text{CU}1,000,000 \times 7.5\%) - \text{CU}35,000 = \text{CU}40,000$

IAS 23 is silent on how to treat any temporary investment income earned in the same period before the capitalisation of borrowing costs commences. As there is no specific guidance the fair presentation requirement of the *Conceptual Framework* requires that an entity should apply a policy that gives a fair presentation of the business. Therefore, the approach adopted should be that any temporary investment income earned before capitalisation commences should be recognised as part of profit or loss for the period.

In summary, it will not be deducted from eligible borrowing costs as at the time the investment income was earned the conditions of capitalisation were not fulfilled and IAS 23 was not applicable.

If the construction is financed out of the **general borrowing** of the entity:

- the amount of borrowing costs to be capitalised should be calculated by reference to the weighted average cost of the general borrowings; and

- the weighted average calculation excludes borrowings to finance a specific asset or building until substantially all activities to prepare that specific asset for use or sale are complete.

If the entity is part of a group and funds are negotiated for the whole group rather than individual entities, then judgement is required as to which borrowings should be used in the calculation of the weighted average cost of (group) borrowings.



Worked example: Weighted average cost

An entity has the following loan finance in place during the year:

CU1 million of 6% pa loan finance

CU2 million of 8% pa loan finance

It constructed a new factory which cost CU600,000 and this was funded out of the existing loan finance. The factory took eight months to complete.

Requirement

What amount of borrowing costs should be capitalised?

Solution

Calculation as follows:

$$\text{Weighted average cost of loans} = \frac{(\text{CU}1,000,000 \times 6\%) + (\text{CU}2,000,000 \times 8\%)}{\text{CU}3,000,000} = 7.33\%$$

$$\text{Borrowing costs to be capitalised} = \text{CU}600,000 \times 7.33\% \times 8/12 = \text{CU}29,320$$

The amount of borrowing costs capitalised may be limited because the total carrying amount of the asset (including borrowing costs) should not exceed the asset's recoverable amount.

4.4 Commencement of capitalisation

Capitalisation should commence when the entity first meets all three of the following conditions:

- It incurs expenditures for the asset.
- It incurs borrowing costs.
- It undertakes activities that are necessary to prepare the asset for its intended use or sale.

Activities necessary to prepare the asset for use or sale include:

- construction
- drawing up plans
- obtaining planning permissions
- obtaining permissions from utility providers
- obtaining other consents required

Simply holding an asset for development without any associated activities is not enough to qualify for capitalisation.



Interactive question 2: Commencement of capitalisation

The following events take place:

- (1) An entity buys some land on 1 December.
- (2) Work is undertaken in December and January in preparing a planning application.
- (3) Planning permission is obtained on 31 January.
- (4) Payment for the land is deferred until 1 February.
- (5) The entity takes out a loan to cover the cost of the land and the construction of the building on 1 February.

Requirement

When should capitalisation of borrowing costs commence?

See **Answer** at the end of this chapter.

4.5 Cessation of capitalisation

The entity shall cease capitalising borrowing costs when substantially all the activities necessary to get the asset ready for its intended use or sale are complete.

Minor activities such as decoration of a building to a purchaser's specification do not form part of substantial activities, so capitalisation should cease before this work is started.

Note: It is the availability for use or sale which is important, not the actual use or sale. An asset is normally ready for use or sale when its physical construction is complete.

Where an asset is completed in parts: where each part is capable of being used/sold separately while other parts continue to be constructed, the cessation of capitalisation of borrowing costs should be assessed on the completion of each part; and where no part is capable of being used/sold separately until all the other parts have been completed, cessation should take place when the last part is completed.

4.6 Disclosure

The entity should disclose:

- the costs which have been capitalised in the current period; and
- the capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation.

4.7 Judgements required

IAS 23 requires some significant judgements on the part of management, particularly in terms of how to define:

- 'A substantial period of time to get ready' which is a central part of the definition of a qualifying asset.
- The borrowing costs which are 'directly attributable' to work on the qualifying asset. In groups of companies with a central treasury function, it may be that some of the group borrowings are really attributable to activities other than the work on the qualifying asset.
- 'Activities necessary to prepare the qualifying asset'. This is central to identifying when capitalisation should commence.
- When 'substantially all the activities necessary... are complete', the point at which capitalisation should cease.



Professional skills focus: Applying judgement

IAS 23 distinguishes between general borrowings and those borrowings obtained purely to fund new PPE. This is one topic where the accounting treatment provided in a scenario may be subject to scrutiny and your appraisal in the exam. In the question, general borrowings may be capitalised in their entirety or the wrong interest rate may be used, perhaps with the intention to maximise profits. Ensure that you understand the definitions and can apply this technical knowledge to any given scenario.

5 Measurement of PPE after initial recognition



Section overview

After initial recognition, an item of PPE may be measured using:

- the cost model
- the revaluation model

5.1 The two models

IAS 16 sets out **two** models, **without expressing a preference** for either:

- The **cost model**. An item of PPE is carried at **cost (ie, initial cost plus subsequent expenditure) less accumulated depreciation and impairment losses**.
- The **revaluation model**. An item of PPE is carried at the revalued amount, being **fair value** less subsequent accumulated depreciation and impairment losses.

The choice of model is an accounting policy choice, which must be applied across an entire **class of PPE**.

5.2 Fair value

Fair value is determined in accordance with IFRS 13, Fair Value Measurement and is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date. Various techniques may be used to determine fair value, however in the *Financial Accounting and Reporting* examination, where relevant, it will be given to you.

5.3 Frequency of valuations

Revaluations should be made with **sufficient regularity** to ensure that the **carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period**.

So, the frequency of the valuation **depends on the volatility of the fair values** of individual items of PPE. The more volatile the fair value, the more frequently revaluations should be carried out, in some cases annually.

The **maximum interval mentioned is five years**, but longer could be justified if movements were very small and slow.

The requirement for periodic revaluations is designed to **prevent companies from revaluing assets selectively**.

5.4 Classes of assets



Definition

Class of property, plant and equipment: A grouping of assets of a similar nature and use in an entity's operations.

Where an item of PPE is revalued, all other assets **in the same class** should also be revalued.

Again, this is designed to stop companies being selective about which items to revalue and to avoid financial statements including a mixture of costs and values for like items.

IAS 16 provides **examples of separate classes** including the following:

- land
- land and buildings
- machinery
- ships
- aircraft
- motor vehicles
- furniture and fixtures
- office equipment
- bearer plants

6 Depreciation



Section overview

- Depreciation is a means of allocating the depreciable amount of a non-current asset to profit or loss over the useful life of the asset. It is an **application of the accruals** (matching) principle.
- Each **significant part of an item of PPE** must be **depreciated separately**.
- Land should be accounted for separately from buildings.
- **Residual values and useful lives must be reviewed annually**. Any change must be treated as a change in accounting estimate.
- There are a number of different methods of depreciation:
 - straight-line method
 - diminishing balance method (= reducing balance)
 - units of production method

6.1 Objective of depreciation

Depreciation is an application of the **accrual concept**. Its **objective is to charge to profit or loss the cost of using PPE in each period**, so that at the end of its useful life the whole of the net cost has been written off.

Depreciation does not relate to the value of an asset as it is a cost-allocation concept, not a measure of value changes. An increase in the current value of an asset does not itself justify not depreciating that asset. The means of recognising an increase in value of an asset is to revalue the asset, which is a separate issue from depreciation.



Definitions

Depreciation: This is the systematic allocation of the depreciable amount of an asset over its useful life.

Depreciable amount: The cost of an asset, or other amount substituted for cost, less its residual value.

Useful life: This is:

- the period over which an asset is expected to be available for use by an entity; or
- the number of production or similar units expected to be obtained from the asset by an entity.

Note: Note that the useful life of an asset is not the same as its total economic life. For example, a well-maintained car might have an economic life of ten years, but if the company has a policy to replace its company cars every five years, the useful life of the car to the entity will be five years.

Residual value: The estimated amount an entity would currently obtain from disposing of the asset, after deducting the costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.

6.2 Calculation and recognition

Each significant part of an item of PPE must be depreciated separately, although they may be grouped together for depreciation charge purposes if they have the same useful lives and depreciation methods. So an aircraft's engines will be depreciated separately from its airframe when they have different useful lives. This is a natural consequence of the initial process of analysing the cost of an asset over its component parts (see section 2 above).

Land and buildings are separable assets and accounted for separately, even when acquired together. Land usually has an infinite life, whereas buildings do not. So, buildings are always depreciable assets, but land is not unless it is used for a purpose such as landfill or quarrying and so has a finite life. If the initial cost of land includes a provision for dismantlement and restoration (see section 3.2 above), then that part of its cost is depreciated over the period expected to benefit.

The depreciation charge is recognised in profit or loss, unless it can be included in the cost of an asset. The cost of inventories under IAS 2, *Inventories* includes depreciation charges on manufacturing PPE. Where PPE is used for development activities, the depreciation charge on the PPE is included in the cost of the intangible asset recognised in accordance with IAS 38, *Intangible Assets*.

Note: In the *Financial Accounting and Reporting* exam, you should assume that depreciation should be calculated on a monthly basis, pro rata, unless the question states otherwise.

Interactive question 3: Calculating depreciation

Using the costs from Interactive question 1 and assuming there are no residual values, calculate the annual depreciation charges for the facility.

Type text here

Fill in the proforma below.

Annual charge re:

Type text here
CU

Safety inspection - Over three years

Components to be replaced in eight years - Over eight years

Remainder - Over 20 years

See **Answer** at the end of this chapter.

6.3 Depreciable amount and depreciation period

The **residual value and useful life** of an asset must be **reviewed at least each year end**; any **change is a change in accounting estimate** and must be accounted for **prospectively** under IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*. The accounting policy remains one of depreciation, taking into account residual values and useful lives; all that changes are the estimates of these amounts.

Interactive question 4: Depreciation period

An asset has a cost of CU1,000, useful life of 10 years and residual value of CU200. At the beginning of year 3 of its life, the remaining useful life was revised to four years, the residual value being unchanged.

Requirement

Calculate the depreciation charge for each of years 1 to 3 on the straight-line basis. Fill in the proforma below.

Cost

Accumulated depreciation Carrying amount

Charge for the year

Year 1
CU

Year 2
CU

Year 3
CU

See **Answer** at the end of this chapter.

Notes

- 1 A **change in residual value is dealt** with in the **same way as a change in useful life**. Calculate the carrying amount immediately before the change, then calculate subsequent depreciation by taking account of the change in residual value. A change in useful life or residual value is always applied prospectively.
- 2 In accordance with accrual accounting, depreciation continues to be recognised even if fair value is greater than the carrying amount.
- 3 Depreciation is zero if residual value exceeds the carrying amount. The reason is that there is no longer a depreciable amount.

6.4 Commencement of depreciation

Depreciation should commence **when the asset is in the location and condition necessary for it to be capable of operating in the manner intended**. This is the case even if the asset

is actually put into use at a later date. Depreciation continues **even if the asset lies idle**, for example as a result of a fall in market demand for its output. **Depreciation only ceases when the asset is derecognised**; the treatment of assets held for sale is dealt with below.

6.5 Factors affecting useful life

There are many factors affecting the useful life of an asset. These include:

- **expected usage** of the asset measured by reference to the asset's expected capacity or physical output;
- expected **physical wear and tear**;
- **technical or commercial obsolescence** arising from changes or improvements in production, or from a change in market demand; and
- **legal or similar limits** on the use of the asset, such as expiry dates of related leases.

These factors should be considered by management on the initial assessment of the asset's useful life and on each subsequent annual review.

6.6 Depreciation method

IAS 16 requires that a **systematic basis** should be used to allocate the depreciable amount over the asset's useful life; the method should reflect the **pattern in which the future economic benefits are consumed**. A number of methods are identified, which you should be familiar with from your *Accounting* studies:

- Straight-line method, whereby there is a constant charge each year, on the assumption that equal amounts of economic benefit are consumed in each year of the asset's life.
- Diminishing (or reducing) balance method, whereby the depreciation rate is applied to the opening carrying amount. This method, which charges more depreciation in the early years of an asset's life than in later years, could be appropriate in circumstances where over its life the asset becomes less capable of producing a high-quality product.
- Units of production method, whereby the charge is calculated by reference to the output each year as a proportion of the total expected output over the asset's useful life.

6.7 Change in method of depreciation

Depreciation methods **must be reviewed at least at each financial year end**. A change in the pattern of consumption of economic benefits may demand a change to the method. Any **changes are changes in an accounting estimate and are accounted for prospectively**. The carrying amount of the asset is depreciated under the new method over the remaining useful life, beginning in the period in which the change is made in accordance with IAS 8.



Context example: Change in depreciation method

Bord plc has a 31 December year end. On 1 January 20X3 it bought a machine for CU100,000 and depreciated it at 15% pa on the reducing balance basis. The residual value is nil.

On 31 December 20X6, the machine will be included in Bord plc's accounts at the following amount:

	CU
Cost	100,000
Accumulated depreciation 4 Year reducing korse ekhane	(47,800)
Carrying amount	<u>52,200</u>

During 20X7, the company decided to change the basis of depreciation to straight-line over a total life of 10 years, ie, six years remaining from 1 January 20X7. **20x8 hobe**

52,200 hobe

$$\text{New annual charge from 20X7} = \frac{52,000}{6} = \text{CU8,700 pa}$$

IAS 16 requires the provisions of IAS 36, *Impairment of Assets* to be applied.

IAS 36 is covered in more detail below. Any compensation received from third parties for impaired PPE is recognised in profit or loss (where the impairment loss is charged), not set against the cost of the PPE item.

7 Accounting for revaluations



Section overview

- Revaluation gains are recognised in other comprehensive income and form part of equity as a revaluation surplus.
- Revaluation losses are recognised as an expense in profit or loss unless they relate to an earlier revaluation surplus.
- After revaluation, depreciation is based on the revalued amount.
- An annual reserves transfer is allowed amounting to the excess of actual depreciation over the historical cost depreciation.

7.1 Increases in value

When the historical cost convention is used in accounting, assets are recorded at their original purchase cost. For many small businesses this is sufficient.

Non-current assets might have been purchased a long time ago, and risen in value over time, so that their historical cost (less accumulated depreciation) is no longer representative of the current value.

Non-current assets may therefore be revalued using the revaluation model. This new value is then depreciated over the remainder of the useful life.

The basic rule is that increases in value on a revaluation are recognised in other comprehensive income and form part of equity under the heading of revaluation surplus. The effect of this is that they:

- appear under 'other comprehensive income' in the statement of profit or loss and other comprehensive income;
- appear in the statement of changes in equity as part of 'total comprehensive income', and hence are part of total equity; and
- are not recognised in profit or loss.

The exception is that where such an increase reverses an earlier revaluation decrease on the same asset that was recognised in profit or loss (see section 7.3 below), then the surplus should be recognised in profit or loss, but only to the extent of the previous decrease. In practice, the surplus is treated so that the overall effect is the same as if the original downward revaluation recognised in profit or loss had not occurred. Any excess surplus is recognised in other comprehensive income as described above.



Professional skills focus: Structuring problems and solutions

In your exam, you may be given a scenario where an item of PPE has been revalued during the year. This may be an initial revaluation or increasing or decreasing a previous revaluation. It is vital that you understand the accounting treatment regarding revaluations and can apply it to different scenarios. In particular, pay attention to the date of revaluation and any existing balances on the revaluation surplus, especially if it is a decrease in value. A revaluation is not necessarily a straightforward adjustment, especially where there has been a previous increase in the valuation of the asset in question.

7.2 Accounting for increases in value

The commonly adopted method of accounting for upward revaluations to fair value is to **write the original cost to fair value** and **write back the accumulated depreciation to revaluation surplus**.

Journal entries for revaluation

- (a) When undepreciated freehold land is revalued upwards, the journal entry increases the asset's cost to the revalued amount and creates a **revaluation surplus**.

DR Freehold land – cost/valuation	CUX	
CR Revaluation surplus (OCI)		CUX

- (b) When assets which have been depreciated are revalued upwards, the journal entry adjusts the asset's cost to its new value and also removes the accumulated depreciation that has built up to date. Together these amounts total the credit to the revaluation surplus:

DR/CR Building – cost/valuation (Note)	CUX	
DR Building – accumulated depreciation	CUX	
CR Revaluation surplus (OCI)		CUX

Note: Note that there may be a credit to the cost/valuation of the asset in a revaluation increase if the amount of accumulated depreciation written back exceeds the amount of the revaluation surplus.

You should remove (debit) the accumulated depreciation first before making the adjustment to cost/valuation.

- (c) The **asset's** annual depreciation charge on the full amount after the revaluation is charged as an expense (the annual depreciation charge will rise after the revaluation, assuming there is no extension to the useful life):

DR Profit or loss – depreciation on revalued amount	CUX	
CR Accumulated depreciation		CUX



Worked example: Revaluation

Flower Ltd has two non-current assets.

Asset A was bought for CU1,400,000 some years ago and is now valued at CU4,500,000. This asset is not depreciated.

Asset B was bought for CU500,000 five years ago and has been depreciated at 10% on cost pa. It is now valued at CU800,000. There is no change to its useful life.

Requirement

Show the journals to record the asset revaluations and show the extracts from the statement of financial position for the non-current assets and the revaluation surplus.

Solution

Asset A

		CU	CU
DR	Asset A – cost/valuation (CU4.5m – CU1.4m)	CU3,100,000	
CR	Revaluation surplus (OCI)		CU3,100,000

Asset B

		CU	CU
DR	Asset B – cost/valuation (CU800,000 – CU500,000)	300,000	
DR	Asset B – accumulated depreciation (CU500,000 × 10% × 5)	250,000	
CR	Revaluation surplus (OCI)		550,000

Statement of financial position (extract)

	CU
Property, plant and equipment (CU4,500,000 + CU800,000)	<u>5,300,000</u>
Revaluation surplus (CU3,100,000 + CU550,000)	<u>3,650,000</u>

Interactive question 5: Revaluation

On 1 January 20X2, an asset has a carrying amount of CU100,000 and a remaining useful life of 10 years, with a nil residual value. The asset is revalued on that date to CU50,000 and the loss is recognised in profit or loss.

The asset is depreciated straight-line over the next ten years, giving a carrying amount of CU25,000 at 31 December 20X6. Then, on 1 January 20X7 when the remaining useful life is the unexpired five years, the asset is revalued to CU60,000.

Requirement

State how much of the revaluation surplus on 1 January 20X7 is recognised in other comprehensive income and how much is recognised in profit or loss.

See **Answer** at the end of this chapter.

7.3 Decreases in value

The basic rule is that decreases in value on a revaluation are recognised as an expense and charged to profit or loss.

The exception is where such a decrease reverses an earlier revaluation increase on the same asset that was recognised in other comprehensive income and is held in the revaluation surplus, then the deficit should be recognised in other comprehensive income, but only to the extent of the previous increase.

Context example: Revaluation decrease

An item of land originally cost CU15,000. Two years ago it was revalued to CU20,000. Now the value has fallen to CU13,000.

When the land was originally revalued two years ago, the revaluation surplus of CU5,000 would have been recognised in other comprehensive income and accumulated in the revaluation surplus as part of equity.

The asset value has fallen by CU7,000, of which CU5,000 should reverse the previous revaluation surplus via other comprehensive income and the remaining CU2,000 should be recognised in profit or loss.

The double entry would be:

	CU	CU
DR Revaluation surplus (OCI)	5,000	
DR Profit or loss	2,000	
CR Asset value		7,000

If the profit for the year before adjusting for this loss was CU57,000, the extracts from the financial statements would show the following

Statement of profit or loss and other comprehensive income

	CU
Profit for the year (57,000 - 2,000)	55,000
Other comprehensive income:	
Loss on property revaluation	(5,000)
Total comprehensive income for the year	<u>50,000</u>

Statement of changes in equity

	Retained earnings	Revaluation surplus	Total
	CU	CU	CU
Total comprehensive income for the year	55,000	(5,000)	50,000

7.4 Depreciation of revalued assets

Where an **asset has been revalued, the depreciation charge is based on the revalued amount, less residual value, from the date of revaluation.** The asset's residual value should also be **re-estimated on revaluation.** In your exam, pay attention to the date of revaluation when calculating depreciation. It will be based on historic cost if revalued at the end of the year, or if the revaluation took place mid- year, then the depreciation will be based partially on historic cost and partially on revalued amount.



Definition

Residual value: The **estimated amount that an entity would currently obtain from disposal** of the asset, after deducting the estimated costs of disposal if the asset were already of the age and in the condition expected at the end of its useful life.



Worked example: Revaluation and depreciation of non-current assets

Vann Ltd commenced trading on 1 January 20X1. On that date the company purchased a building for CU120,000 to be depreciated over 30 years with no residual value. Vann Ltd uses a revaluation model for buildings.

After five years of trading on 1 January 20X6, the building has a fair value of CU175,000. It still has a further 25 years of useful life remaining.

Requirement

Type text here

Calculate the annual depreciation charge to profit or loss in each year of the asset's life, and the revaluation surplus as at 1 January 20X6.

Solution

Before the revaluation, the annual depreciation charge is CU4,000 pa on the building. This charge is made in each of the first five years of the asset's life.

The carrying amount of the asset will decline by CU4,000 pa, to CU120,000 less (5 × CU4,000) CU20,000 = CU100,000 at 31 December 20X5.

When the revaluation takes place, the amount of the revaluation is:

	CU
New asset value (to be shown in statement of financial position)	175,000
Carrying amount as at end of 20X5	(100,000)
Amount of revaluation	<u>75,000</u>

The carrying amount of the asset will be increased by CU75,000 to CU175,000 and CU75,000 recognised in other comprehensive income and accumulated in the revaluation surplus as part of equity.

The accumulated depreciation of CU20,000 built up over five years is no longer needed. On 1 January 20X6 we therefore:

	CU	CU
DR Non-current asset cost (175,000 - 120,000)	55,000	
DR Accumulated depreciation (entire balance)	20,000	
CR Revaluation surplus (OCI)		75,000

After the revaluation, depreciation will be charged on the building at a new rate of:

$$\frac{\text{CU175,000}}{25 \text{ years}} = \text{CU7,000 per year}$$

The carrying amount of the building will fall by CU7,000 per year over 25 years, from CU175,000 as at 1 January 20X6 to nil at the end of the 25 years, ie, it will have been fully depreciated.

The whole of the depreciation charge is **recognised in profit or loss**. None is recognised in other comprehensive income and consequently set against the revaluation surplus. However, **IAS 16 permits**, and it is best practice to make, **a transfer between reserves**, of the 'excess' depreciation arising as a result of the revaluation.

The overall effect is that the statement of profit or loss shows the economic benefit consumed, measured by reference to the revalued figure for the asset, but distributable profits (ie, those out of which dividends may be declared) are not affected by extra depreciation on revalued assets.

The transfer is recorded as follows:

Amount of transfer = actual depreciation charged less equivalent charge based on original historical cost of asset

Entry to record transfer:

DR Revaluation surplus	X
CR Retained earnings	X

This transfer is shown in the statement of changes in equity.



Context example: Reserve transfer

An item of PPE was purchased for CU800,000 on 1 January 20X6. It is estimated to have a useful life of 20 years and is depreciated on a straight-line basis. On 1 January 20X8 the asset is revalued to CU850,000. The useful life is unchanged. (Ignore residual value.)

		CU
Actual depreciation for 20X8 based on revalued amount	850,000/18	47,222
Depreciation for 20X8 based on historical cost	800,000/20	(40,000)
Difference		<u>7,222</u>

In the statement of profit or loss for 20X8 a depreciation expense of CU47,222 will be charged. A reserve transfer, which will be shown in the statement of changes in equity, may be performed as follows:

	CU	CU
DR Revaluation surplus	7,222	
CR Retained earnings		7,222

The closing balance on the revaluation surplus on 31 December 20X8 will therefore be as follows:

	CU
Balance arising on revaluation (850 - 720)	130,000
Transfer to retained earnings	<u>(7,222)</u>
	<u>122,778</u>

7.5 Disposal of revalued assets

This is dealt with in section 9.4 below.

8 Impairment of assets



Section overview

- An **asset is impaired if its recoverable amount is less than its carrying amount.**
- The recoverable amount is the higher of:
 - the asset's fair value less costs of disposal; and
 - its value in use.
- Internal and external sources provide indications of possible impairment.
- For assets held at historical cost an impairment loss should be charged to profit or loss.
- For **assets held at a revalued amount** the **impairment loss is treated as a revaluation decrease.**

8.1 Objective and scope of IAS 36, *Impairment of Assets*

Whenever an asset's recoverable amount falls to an amount less than its carrying amount, it is said to be impaired. Its carrying amount in the statement of financial position is therefore reduced to this recoverable amount and, in most cases, an expense is recognised in profit or loss. IAS 36 puts in place a detailed method for carrying out impairment reviews and related accounting treatments and disclosures.

IAS 36 applies to all assets apart from those specifically excluded from the standard. It most commonly applies to assets such as **property, plant and equipment** accounted for in accordance with IAS 16 and **intangible assets** accounted for in accordance with IAS 38, *Intangible Assets* (we will look at intangible assets in Chapter 5). The **standard also applies to some financial assets, namely subsidiaries, associates and joint ventures.** **Impairments of all other financial assets are accounted for in accordance with IFRS 9, *Financial Instruments*** the detail of which is outside your syllabus.

8.2 Basic principle

The basic principle underlying IAS 36 is relatively straightforward. If an asset's value in the financial statements is higher than its realistic value, measured as its 'recoverable amount', the asset is judged to have been **impaired**.

The value of the asset should be reduced by the amount of the **impairment loss**. This loss should be **charged to profit immediately**.

The main accounting issues to consider are therefore as follows:

- How is it possible to **identify when** an impairment loss may have occurred?
- How should the **recoverable amount** of the asset be **measured**?
- How should an impairment loss be **reported in the financial statements**?

8.3 Indicators of impairment

An entity should assess at the end of each reporting period whether there are any indications of impairment to any assets. The concept of **materiality** applies, and only material impairment needs to be identified.

If there are indications of possible impairment, the entity is required to make a formal estimate of the **recoverable amount** of the assets concerned.

In assessing such indications of a possible impairment, IAS 36 requires an entity to consider, as a minimum, the following:

- **External sources of information:**

- A fall in the asset's market value that is more significant than would normally be expected from passage of time over normal use.
- A significant change in the technological, market, legal or economic environment of the business in which the assets are employed.
- An increase in market interest rates or market rates of return on investments likely to affect the discount rate used in calculating value in use.
- The carrying amount of the entity's net assets being more than its market capitalisation.

- **Internal sources of information:**

- Evidence of obsolescence or physical damage.
 - Adverse changes in the use to which the asset is put.
 - Indications that the economic performance of an asset is, or will be, worse than expected.
- Even if there are no indications of impairment, the following assets must **always** be tested for impairment annually:

- an intangible asset with an **indefinite useful life** or not yet available for use; and
- **goodwill** acquired in a business combination.

(Intangible assets are covered in Chapter 5.)



Professional skills focus: Concluding, recommending and communicating

Be aware of any indicators of impairment given in the scenario. You may be asked to explain, with supporting calculations, the appropriate treatment for accounting for an impairment of an asset. This may be in the form of communicating, in non-technical language, the reasoning behind the impairment as well as drafting revised extracts to the financial statements as appropriate.

8.4 Measuring the recoverable amount of the asset



Definitions

Recoverable amount of an asset: Is the **higher** of:

- its fair value less costs of disposal; and
- its value in use.

Costs of disposal: Incremental costs directly attributable to the disposal of an asset or cash generating unit **excluding finance costs and income tax expense.**

8.4.1 Fair value less costs of disposal

Examples of costs of disposal are legal costs, stamp duty and the cost of removing the asset.

Selling costs cannot include any restructuring or reorganisation expenses, or any costs that have already been recognised in the financial statements as liabilities.

8.4.2 Value in use

An asset's fair value less costs of disposal is compared with its **value in use** in order to determine the recoverable amount (see above). Value in use is measured as the present value of the future cash flows expected to be derived from an asset.

The detailed guidance provided as to how to arrive at this value is not in the syllabus, but the following general points should be noted:

- Calculations should be based on **reasonable and supportable assumptions**.
- Projections should be based on the **most recent budgets etc approved by management** over a **maximum of five years**, unless a longer period can be justified.
- **Inflows and outflows should be estimated separately**, based upon the asset's current condition (so ignoring the benefits of restructurings not committed to and future performance enhancements).
- Financing and tax costs should be **excluded**.
- Account should be taken of net cash flows expected to arise on the asset's **ultimate disposal**.

Note the practical point that **if one of the two elements in the recoverable amount has been estimated as in excess of the asset's carrying amount, then the asset is not impaired and there is no need to estimate the value of the other element**. So if fair value less costs of disposal exceeds carrying amount, as it well might in the case of freehold and leasehold properties, then there is no need to estimate value in use. This is useful in relation to assets for which there is an active market, **because fair values can be estimated quickly and cheaply**.

8.5 Accounting treatment of impairments

If the recoverable amount of an asset is less than the carrying amount, the difference is the impairment loss.

It should be described as such in the financial statements but the accounting treatment is similar to increases and decreases arising on a revaluation (see section 7 above) whereby:

- An impairment loss **for assets at a historical cost** is recognised in the **same way as a decrease on revaluation ie, as an expense in profit or loss**.
- If the impairment loss relates to **an asset that has previously been revalued**, then it is treated as a **revaluation decrease** and not as an impairment loss. So in line with section 7.3 above it can first be set against any balance relating to the same asset standing on the revaluation surplus, with any excess being recognised in profit or loss.
- Depreciation charges in future accounting periods are calculated based on **the revised carrying amount**, less residual value, spread over the asset's remaining useful life.

In certain circumstances impairment losses incurred in one accounting period may be reversed in a later period, but the relevant rules are outside the scope of the *Financial Accounting and Reporting* syllabus.

Context example: Impairment

The following details relate to a freehold property:

	CU
Carrying amount (at date of revaluation)	1,000,000
Revalued to	<u>1,600,000</u>
Amount recognised in the revaluation surplus	600,000
Current carrying amount	1,500,000
Fair value less costs of disposal	600,000
Value in use	800,000

The recoverable amount of the asset is CU800,000 (ie, the higher of fair value less costs of disposal and value in use).

An impairment loss of CU700,000 has occurred (1,500,000 – 800,000)

The impairment will be accounted for as follows:

	CU	CU
DR Revaluation surplus (OCI)	600,000	
DR Profit or loss	100,000	
CR Property (carrying amount)		700,000

8.6 Disclosure

For all impairments, disclosure must be made for **each class of assets** of:

- the amount of any impairment loss recognised in profit or loss and the line item where it has been included; and
- the amount of impairment losses recognised on revalued assets recognised in other comprehensive income.

If an impairment loss for **an individual asset is material to the financial statements** as a whole, there must be **additional disclosure** of:

- the events that led to the recognition of the loss;
- the amount;
- the nature of the asset;
- whether the recoverable amount is fair value less costs of disposal or value in use;
- how fair value less costs of disposal is determined in accordance with IFRS 13 (where the recoverable amount is fair value less costs of disposal); and
- the discount rate used in the current estimate and any previous estimate of value in use (where the recoverable amount is value in use).

If impairment losses are **material only in aggregate**, then a **reduced** amount of additional information should be given. The following details must be disclosed:

- The main classes of assets affected by impairment losses; and
- The main events and circumstances that led to the recognition of these impairment losses.

9 Derecognition of property, plant and equipment (PPE)



Section overview

- PPE disposed of should be removed (derecognised) from the statement of financial position and a gain or loss on disposal recognised in profit or loss.
- When the decision is made to sell a non-current asset, it may be classified as 'held for sale' if **IFRS 5 criteria are met.**
- An asset held for sale is measured at the lower of:
 - Its carrying amount
 - Its fair value less costs to sell
- No depreciation is charged on a held for sale asset.

9.1 General rule

An item of PPE shall be **removed from the statement of financial position** (ie, derecognised) when it is **disposed** of or when **no future economic benefits** are expected from its use or disposal (ie, **it is abandoned**).

The **gain or loss on the disposal of an item of PPE is included in the profit or loss of the period in which the derecognition occurs**. The gain or loss is calculated as the difference between the net sale proceeds and the carrying amount. Gains may not be included in revenue in the statement of profit or loss but are instead included as other income or netted off against expenses. Any balance on the revaluation surplus in respect of PPE disposed of should be released to retained earnings on disposal.

The process of selling an item of PPE involves the following stages:

- making the decision to sell the item;
- putting the item on the market, agreeing the selling price and negotiating the contract for sale; and
- completing the sale.

The issue is at what stage through this process should any gain or loss on the sale be recognised. These matters are dealt with in IFRS 5 and there are different required treatments depending on whether the item of PPE is measured under the cost model or the revaluation model.

9.2 Classification as held for sale

In order for an asset to be classified as held for sale, detailed criteria must be met:

- the asset must be **available for immediate sale** in its present condition; and
- its sale must be **highly probable** (ie, significantly more likely than probable).

For the sale to be highly probable:

- management must be **committed** to a plan to sell the asset;
- there must be an active programme to **locate a buyer**;
- the asset must be marketed for sale at **a price that is reasonable** in relation to its current fair value;
- the sale should be expected to take place **within one year** from the **date of classification**; and
- it is unlikely that significant changes to the plan will be made or that the plan will be **withdrawn**.

Notes

- 1 An asset can still be classified as held for sale, even if the sale has not actually taken place within one year. However, the **delay must have been caused by events or circumstances beyond the entity's control** and there must be sufficient evidence that the entity is still committed to sell the asset.
- 2 If the end of a reporting period intervenes between the classification as held for sale and the final disposal, fair value less costs to sell may have fallen below or risen above the figure used on original classification. Any fall is accounted for as a further impairment loss, while any rise goes to reduce the amount of the original impairment loss but cannot write the asset's carrying amount above its original level.
- 3 The rules for disposal groups (where an operation comprising assets and liabilities is being sold) fall outside the scope of the *Financial Accounting and Reporting* syllabus.

9.3 Assets held for sale - cost model

Following the principle that any loss should be recognised immediately but any gain should only be recognised when it is realised, IFRS 5's requirements in respect of PPE measured under the cost model are as follows:

- A non-current asset held for sale is measured at the lower of:
 - its **carrying amount**; and
 - its **fair value less costs to sell** (ie, its net selling price).

The effect is that any loss (ie, where the former value exceeds the latter) is recognised at the time of classification as held for sale. But any gain (ie, where the latter value exceeds the former) is not; instead it is recognised according to the general rule in section 9.1 above.

- A non-current asset held for sale **is presented separately from all other assets in the statement of financial position**. IFRS 5 does not specify where this 'separate presentation' should be made, but these learning materials follow the IASB's (non-mandatory) guidance on implementing IFRS 5 by presenting it immediately below the sub-total for current assets.
- **No depreciation is charged** on a held for sale asset. The new valuation basis of fair value less costs to sell approximates to residual value, so there is now no depreciable amount.
- **The loss is an impairment loss**, dealt with in the same way as other impairment losses under IAS 36.

On ultimate disposal, any difference between carrying amount and disposal proceeds is treated **as a loss or gain under IAS 16**, not as a further impairment loss or reversal of the original impairment loss.

If the end of a reporting period intervenes between the classification as held for sale and the final disposal, fair value less costs to sell may have fallen below or risen above the figure used on original classification. Any fall is accounted for as a further impairment loss, while any rise goes to reduce the amount of the original impairment loss but cannot write the asset's carrying amount above its original level.

Interactive question 6: Asset held for sale I

An item of PPE was acquired on 1 January 20X5 at a cost of CU100,000. A residual value of CU10,000 and a useful life of 10 years was assumed for the purpose of depreciation charges.

On 1 January 20X8 the asset was classified as held for sale. Its fair value was estimated at CU40,000 and the costs to sell at CU2,000.

The asset was sold on 30 June 20X8 for CU38,000.

Requirements

- 6.1 Prepare, using the proforma below, an extract from the PPE table for 20X8 relating to the asset held for sale.

CU

Cost or valuation:

At 1 January 20X8

Classified as held for sale

At 31 December 20X8

Depreciation:

At 1 January 20X8

Impairment loss

Classified as held for sale

At 31 December 20X8

- 6.2 Show the journal entry to record the classification as held for sale.
- 6.3 Calculate the amount that would be presented in the statement of profit or loss for the year ended 31 December 20X8.
- 6.4 Explain how the answer would change if the sales proceeds on 30 June 20X8 were CU32,000.

See **Answer** at the end of this chapter.

Interactive question 7: Asset held for sale II

These facts are as detailed in Interactive question 6, except that on classification as held for sale, the fair value was estimated at CU80,000 and the costs to sell at CU3,000.

The asset was sold on 30 June 20X8 for CU77,000.

Requirements

- 7.1 Show the journal entry to record the classification as held for sale. Fill in the proforma below.

Journal entry to record the classification as held for sale

	CU	CU
1 January 20X8		
DR PPE - accumulated depreciation		
DR Non-current assets held for sale		
CR PPE - cost		

As fair value less costs of disposal is greater than carrying amount, there is no impairment loss at the time of classification.

- 7.2 Show the entry in the statement of profit or loss for the year ended 31 December 20X8. Fill in the proforma below.

Statement of profit or loss for the year ended 31 December 20X8

	CU
Gain on disposal of non-current assets held for sale	

See **Answer** at the end of this chapter.

9.4 Disposal of PPE measured under the revaluation model

For an item of PPE measured after recognition under the revaluation model and subsequently classified as held for sale, there is a different accounting treatment of the difference between carrying amount and fair value less costs to sell at the time of classification:

- Consistently with the accounting policy chosen, the asset must be **revalued to fair value** under IAS 16 **immediately before the classification**.

- 'Revaluation' means that **either a gain or loss will be recognised** (whereas, as explained in section 9.2, for assets measured under the cost method, only a loss is recognised at the time of classification). If the previous carrying amount is greater than fair value, there will be a loss; if it is less than fair value, there will be a gain.
- Such a gain or loss is dealt with under IAS 16 (see section 7 above), so **a gain is recognised in other comprehensive income and accumulated in revaluation surplus** (except to the extent it reverses a loss previously charged to the profit or loss) and **a loss in profit or loss** (except to the extent it reverses a gain previously recognised in other comprehensive income and held in revaluation surplus).
- Once revalued in this way, the measurement is then adjusted to the normal basis for held for sale assets, so fair value less costs to sell. The effect is that the **costs to sell are immediately recognised in profit or loss as an impairment loss**.



Interactive question 8: Disposal of revalued PPE

Land, which is not depreciated, was acquired on 1 January 20X2 at a cost of CU200,000 and revalued to CU250,000 on 1 January 20X5. On 1 January 20X8 the asset was classified as held for sale. Its fair value was estimated at CU235,000 and the costs to sell at CU5,000.

Requirements

- 8.1 Show the journal entry to record the revaluation on 1 January 20X5. Fill in the proforma below.

Journal entry to record the revaluation

1 January 20X5	CU	CU
DR PPE – at valuation		
CR Revaluation surplus (OCI)		

- 8.2 Show the journal entry to record the classification as held for sale on 1 January 20X8. Fill in the proforma below.

Journal entry to record the classification as held for sale

1 January 20X8	CU	CU
DR Non-current assets held for sale – FV less costs of disposal		
DR Profit or loss – costs of disposal		
DR Revaluation surplus (OCI)		
CR PPE – at valuation		

See **Answer** at the end of this chapter.

9.5 Disposal and gains held in revaluation surplus

If there is still a credit balance on the revaluation surplus relating to an asset that has been disposed of, this balance should be **transferred to retained earnings as a reserve transfer** (the same treatment and presentation as for the reserve transfer in respect of extra depreciation).

The accounting entry is:

DR Revaluation surplus	CUX	
CR Retained earnings		CUX



Interactive question 9: Summary

On 1 January 20X1, Tiger Ltd buys for CU120,000 an item of property, plant and equipment which has an estimated useful life of 20 years with no residual value. Tiger Ltd depreciates its non-current assets on a straight-line basis. Tiger Ltd's year-end is 31 December.

On 31 December 20X3, the asset will be carried in the statement of financial position as follows:

	CU
Property, plant and equipment at cost	120,000
Accumulated depreciation ($3 \times (120,000 \div 20)$)	(18,000)
	<u>102,000</u>

On 1 January 20X4, the asset is revalued to CU136,000. The total useful life remains unchanged.

On 1 January 20X8 the asset is classified as held for sale, its fair value being CU140,000 and its costs to sell CU3,000. On 1 May 20X8 the asset is sold for CU137,000.

Requirements

- 9.1 Show the journal to record the revaluation.
- 9.2 Calculate the revised depreciation charge and show how it would be accounted for, including any permitted reserve transfers.
- 9.3 Show the journal to record the classification as held for sale.
- 9.4 Explain how these events will be recorded in the financial statements for the year ended 31 December 20X8.

See **Answer** at the end of this chapter.

9.6 Abandonment of non-current assets

All these requirements within IFRS 5 which we have looked at so far apply to non-current assets classified as held for sale because their carrying amounts will be recovered principally through a sale transaction. They **do not apply to non-current assets which are to be abandoned**, for example by being scrapped. Because there will be no sales proceeds, any recovery of the carrying amounts of such assets will principally be through continued use.

Such assets continue to be measured and presented under IAS 16, with the effect that:

- the assets remain **classified within their existing non-current asset category**;
- **depreciation charges continue to be recognised**; and
- any **profit or loss on abandonment is recognised at the time of abandonment** rather than at the (usually earlier) time of the decision to abandon them.

IAS 16, not IFRS 5, also applies to the measurement and presentation of an asset taken out of use but not scheduled for disposal; this might be the case if demand for its outputs has temporarily fallen away.

10 Disclosures



Section overview

IAS 16 requires a number of detailed disclosures.

10.1 IAS 16 requirements

As might be expected for items frequently that form such a large part of the statement of financial position and where management has to make so many important judgements (eg, re residual values and useful lives), the financial statements disclosure provisions are wide-ranging. All of the following must be shown for each class of PPE by way of note:

- the measurement basis used (either cost model or revaluation model)
- the depreciation methods
- the useful lives or depreciation rates
- gross carrying amounts and accumulated depreciation at the start and end of the period
- a reconciliation of the net carrying amounts at the start and end of the period by reference to:
 - additions
 - disposals
 - depreciation
 - acquisitions through business combinations
 - the effects of revaluations
 - impairment losses
 - exchange differences
 - other changes eg, assets classified as held for sale
- details of assets pledged as security for loans and of contractual commitments to acquire PPE
- changes in accounting estimates in accordance with IAS 8
- For assets which have been revalued:
 - the effective date(s)
 - whether an independent valuer was involved
 - the carrying amount under the cost model
 - the total revaluation surplus, together with any movements in the period

The PPE disclosures are mainly satisfied by presenting a table which reconciles opening to closing cost/value, accumulated depreciation and carrying amount for each class of assets. Additional notes are then added regarding the depreciation rates, amounts pledged as security and revaluations.



Context example: Property, plant and equipment disclosure note

Consider the following Property, plant and equipment disclosure note table presented in the financial statements of BT Group as at 31 March 2021:

14. Property, plant and equipment

Significant accounting policies that apply to property, plant and equipment

Our property, plant and equipment is included at historical cost, net of accumulated depreciation, government grants and any impairment charges. Property, plant and equipment acquired through business combinations are initially recorded at fair value and subsequently accounted for on the same basis as our existing assets. We derecognise items of property, plant and equipment on disposal or when no future economic benefits are expected to arise from the continued use of the asset. The difference between the sale proceeds and the net book value at the date of disposal is recognised in operating costs

in the income statement.

Included within the cost of network infrastructure and equipment are direct and indirect labour costs, materials and directly attributable overheads.

We depreciate property, plant and equipment on a straight line basis from the time the asset is available for use, to write off the asset's cost over the estimated useful life taking into account any expected residual value. Freehold land is not depreciated.

Estimated useful economic lives

The estimated useful lives assigned to principal categories of assets are as follows:

Land and buildings

- Freehold buildings 14 to 50 years
- Short-term leasehold improvements Shorter of 10 years or lease term
- Leasehold land and buildings Unexpired portion of lease or 40 years, whichever is the shorter

Network infrastructure

Transmission equipment

- Duct 40 years
- Cable 3 to 25 years
- Fibre 5 to 20 years
- Exchange equipment 2 to 13 years
- Other network equipment 2 to 20 years

Other assets

- Motor vehicles 2 to 9 years
- Computers and office equipment 3 to 7 years

Residual values and useful lives are reassessed annually and, if necessary, changes are recognised prospectively.

Network share assets

Certain assets have been contributed to a network share arrangement by both EE and Hutchison 3G UK Limited, with legal title remaining with the contributor. This is considered to be a reciprocal arrangement. Our share of the assets on acquisition of EE were recognised at fair value within tangible assets, and depreciated in line with policy. Subsequent additions are recorded at cost.

Impairment of property, plant and equipment

We test property, plant and equipment for impairment if events or changes in circumstances (assessed at each reporting date) indicate that the carrying amount may not be recoverable. When an impairment test is performed, we assess the recoverable amount by reference to the

higher of the net present value of the expected future cash flows (value in use) of the relevant asset and the fair value less costs to dispose. If it is not possible to determine the recoverable amount for the individual asset then we assess impairment by reference to the relevant cash generating unit as described in note 13.

Building Digital UK (BDUK) government grants

We receive government grants in relation to the BDUK programme and other rural superfast broadband contracts. Where we have achieved certain service levels, or delivered the network more efficiently than anticipated, we have an obligation to either re-invest or repay grant funding. Where this is the case, we recognise deferred income in respect of the funding that will be re-invested or repaid, and make a corresponding adjustment to the carrying amount of the related property, plant and equipment.

Assessing the timing of whether and when we change the estimated take-up assumption is judgmental as it involves considering information which is not always observable. Our consideration on whether and when to change the base case assumption is dependent on our expectation of the long-term take-up trend.

Our assessment of how much grant income to defer includes consideration of the difference between the take-up percentage agreed with the local authority and the likelihood of actual take-up. The value of the government grants deferred is disclosed in note 18.

14. Property, plant and equipment continued

	Land and buildings CUm	Network infrastructur e CUm	Other a CUm	Assets in course of construction CUm	Total CUm
Cost					
At 1 April 2019	1,026	51,893	1,722	1,191	55,832
Additions ^b	7	83	69	2,978	3,137
Transfers	25	3,244	17	(3,295)	(9)
Disposals and adjustments ^c	(55)	(1,132)	(130)	42	(1,275)
Transfer to assets held for sale	(69)	(255)	(24)	-	(348)
Exchange differences	11	60	8	-	79
At 31 March 2020	945	53,893	1,662	916	57,416
Additions ^b	10	(65)	69	3,401	3,415
Transfers	32	3,123	141	(3,305)	(9)
Disposals and adjustments ^c	(19)	(2,209)	(333)	(21)	(2,582)
Exchange differences	(22)	(146)	(19)	(1)	(188)
At 31 March 2021	946	54,596	1,520	990	58,052
Accumulated depreciation					
At 1 April 2019	673	36,052	1,371	-	38,096
Charge for the year	49	2,318	85	-	2,452
Transfers	1	-	(1)	-	-
Disposals and adjustments ^c	(68)	(1,128)	(91)	-	(1,287)
Transfer to assets held for sale ^d	(55)	(216)	(22)	-	(293)
Exchange differences	10	54	8	-	72
At 31 March 2020	610	37,080	1,350	-	39,040
Charge for the year	41	2,282	137	-	2,460
Transfers	(1)	2	(1)	-	-
Disposals and adjustments ^c	(20)	(2,209)	(332)	-	(2,561)
Exchange differences	(18)	(133)	(17)	-	(168)

At 31 March 2021	612	37,022	1,137	-	38,771
Carrying amount					
At 31 March 2020	335	16,813	312	916	18,376
Engineering stores	-	-	-	98	98
Total at 31 March 2020	335	16,813	312	1,014	18,474
At 31 March 2021	334	17,574	383	990	19,281
Engineering stores	-	-	-	116	116
Total at 31 March 2021	334	17,574	383	1,106	19,397

- Other mainly comprises motor vehicles, computers and fixtures and fittings.
- Net of government grants of CU21m (2019/20: CU98m).
- Fully depreciated assets in the group's fixed asset registers were reviewed during the year, as part of the group's annual asset verification exercise, and certain assets that were no longer in use have been written off, reducing cost and accumulated depreciation by CU2.3bn (2019/20: CU0.7bn). Disposals and adjustments include adjustments resulting from changes in assumptions used in calculating lease-end obligations where the corresponding asset is capitalised.
- Transfers to assets held for sale during 2019/20 relate to our domestic operations in France, our domestic operations in Spain and selected domestic operations and infrastructure in 16 countries in Latin America. On reclassification to held for sale, assets associated with the France and Latin America disposals were impaired by CU18m. See note 23.

Included within the above disclosure are assets used in arrangements which represent core business activities for the group and which meet the definition of operating leases:

- CU13,032m (2019/20: CU12,284m) of the carrying amount of the network infrastructure asset class represents Openreach's network infrastructure. The majority of the associated assets are used to deliver fixed-line telecommunications services that have been assessed as containing operating leases, to both internal and external Communications Providers.
- Other assets includes devices with a carrying amount of CU128m (2019/20: CU33m) that are made available to retail customers under arrangements that contain operating leases.

The carrying amount of land and buildings, including leasehold improvements, comprised:

	2021	2020
At 31 March	CUm	CUm
Freehold	123	105
Leasehold	211	230
Total land and buildings	334	335

Network infrastructure

Some of our network assets are jointly controlled by EE Limited with Hutchison 3G UK Limited. These relate to shared 3G network and certain elements of network for 4G rural sites. The net book value of the group's share of assets controlled by its joint operation MBNL is CU625m (2019/20: CU600m) and is recorded within network infrastructure. Included within this is CU95m (2019/20: CU112m), being the group's share of assets owned by its joint operation MBNL.

Within network infrastructure are assets with a net book value of CU10.3bn (2019/20: CU10bn) which have useful economic lives of more than 18 years.

There are further, voluntary disclosures. These include:

- the carrying amount of temporarily idle PPE;
- the gross carrying amount of any fully depreciated PPE that is still in use;
- the carrying amount of PPE retired from active use and not classified as held for sale in accordance with IFRS 5; and
- when the cost model is used, the fair value of PPE when this is materially different from the carrying amount.



Interactive question 10: Disclosure

	Cost CU'000	Accumulated depreciation CU'000
Freehold property	1,000	300
Plant and machinery	700	330
Fixtures and fittings	300	180

- (1) RSBH Ltd's statement of financial position at its year end 31 December 20X6 includes the property, plant and equipment amounts as shown in the table above.
- (2) On 1 January 20X7 RSBH Ltd revalued its existing freehold property to its market value of CU1.2 million and bought additional freehold property at a cost of CU100,000. As a result of no depreciation being charged on the land element, the effective rate of depreciation is 2% pa on cost/valuation, assuming no residual value.
- (3) On 1 April 20X7 RSBH Ltd classified as held for sale a machine with an original cost of CU360,000 and a carrying amount at 31 December 20X6 of CU100,000. The machine's fair value at 1 April 20X7 was estimated at CU80,000 with CU5,000 costs to sell. The company also bought new energy- efficient plant and machinery at a cost of CU400,000. Depreciation is to be charged at the rate of 10% pa on cost, assuming no residual value.
- (4) On 1 July 20X7 RSBH Ltd scrapped fixtures and fittings with an original cost of CU40,000 and accumulated depreciation at 31 December 20X6 of CU25,000 and bought new fixtures at a cost of CU80,000. Depreciation is to be charged at 15% pa on cost, assuming no residual value.

Requirement

Prepare the note showing the movements on property, plant and equipment, including accumulated depreciation, which would be included in the financial statements of RSBH Ltd for the year ended 31 December 20X7.

See **Answer** at the end of this chapter.

11 Ethical and judgement issues

The ICAB Code of Ethics requires professional accountants to demonstrate professional competence and due care and objectivity as two of its fundamental ethical principles. Being objective requires the accountant to not compromise their professional or business judgements due to bias or the undue influence of others. Although a reasonably simple area, the professional accountant should ensure that they are technically up-to-date on the finer points of the various IFRS Standards which are applicable in accounting for PPE.

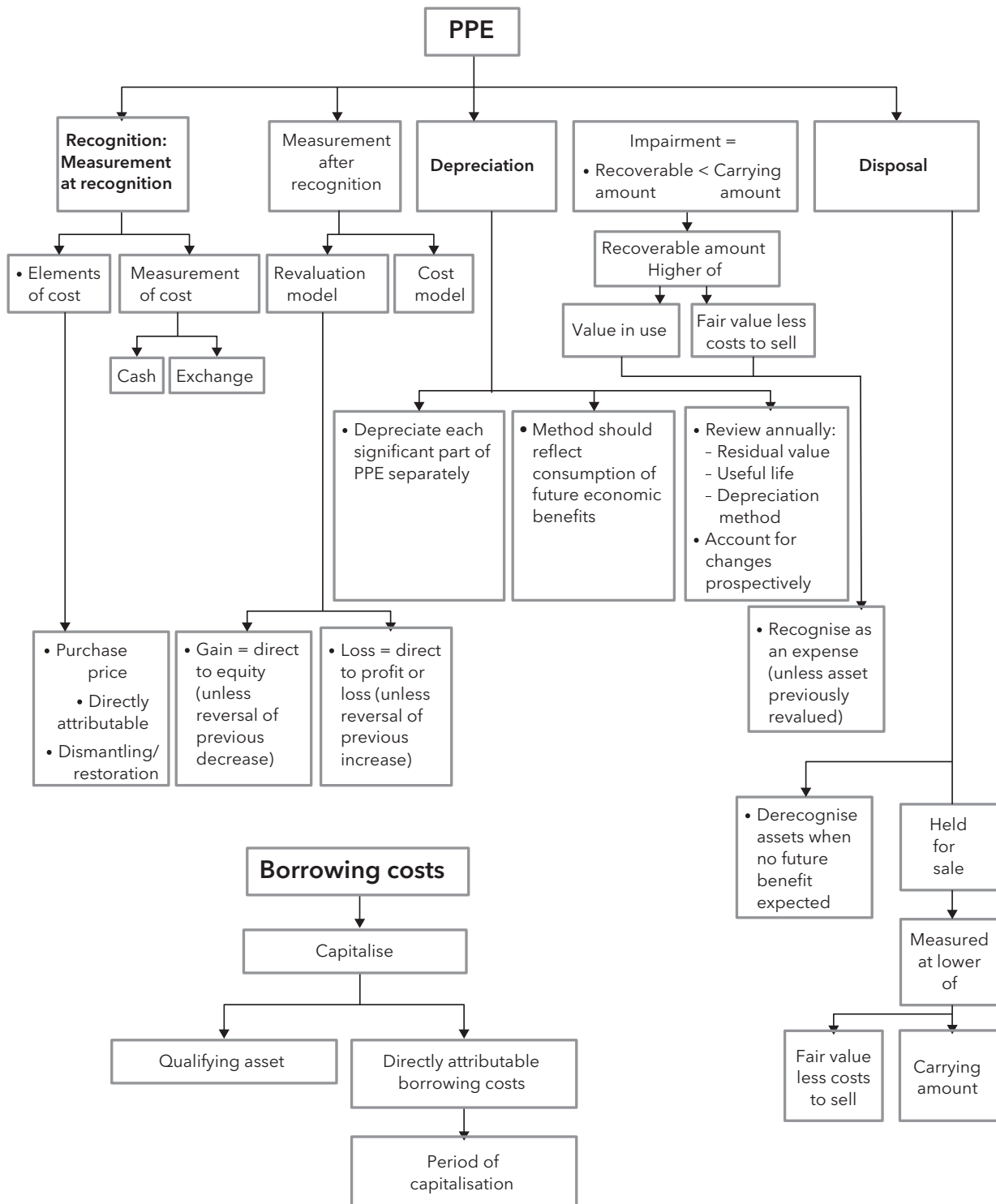
There are various points of judgement when accounting for property, plant and equipment that may give scope for the manipulation of the carrying amount of assets and the profit for the period.

Consider the impact of the following decisions made by accountants:

- Determining the useful life of the asset and its residual value will impact on the carrying amount of the PPE (under the cost model) and the depreciation charged to profit or loss
- Deciding whether to subsequently measure the PPE under the cost model or revaluation model will also impact on the carrying amount of assets and profit or loss
- Determining whether an asset meets the definition of a qualifying asset and determining the point at which capitalisation of borrowing costs should commence and cease
- Assessing whether there is objective evidence of impairment and if so, determining the recoverable amount of the asset

It is important that professional judgement is exercised and that the professional accountant is technically aware of the accounting standards surrounding PPE and the treatment of borrowing costs.

Summary



Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

Confirm your learning	
1.	Can you state the two criteria which must be present in order to recognise PPE? (Topic 2)
2.	Can you apply the basic principles of the initial measurement of a non-current asset? (Topic 3)
3.	Can you account for a revaluation of an item of PPE? (Topic 4)
4.	Can you account for the revised depreciation when the useful life or residual value of PPE has changed? (Topic 5)
5.	Can you explain under which circumstances an item of PPE may be impaired, and how to account for this impairment? (Topic 8)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
Webster plc	This question introduces more complexity in your application of borrowing costs.
Lydd Ltd	This question requires you to account for a change in the useful life of an asset, and to calculate the depreciation accordingly.
Propane plc	This question tests your knowledge of the accounting required for the impairment of assets under IAS 36.
Apollo Ltd	This asset is reclassified as being held for sale under IFRS 5, testing your basic knowledge of the accounting treatment.
Arnold Ltd	A more complex question requiring a revaluation followed by the asset being held for sale.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question name	Learning benefit from attempting this question
Giyani plc	This question covers a range of PPE issues including a revaluation, which impacts on the preparation of the statement of changes in equity, and a reasonably complex depreciation element which requires the component parts of PPE to be depreciated separately.
Litton plc	This question requires the preparation of extracts from the financial statements, including a number of PPE issues (held for sale, component assets, revaluation).
Nickleby plc (issue 1 and issue 4 only)	Issue 1 requires you to explain the application of borrowing costs to the scenario. Issue 4 asks for explanation regarding revaluation of PPE.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

IAS 16	All examinable
IAS 23	References to suspension of capitalisation are not examinable
IAS 36	Paragraphs 1-64 (excluding paragraph 54), 126-128, and 130-131 are examinable. The Appendices are not examinable
IFRS 5	References to disposal groups and implementation guidance (except paragraphs 11 and 12) are not examinable

The paragraphs listed below are the key references you should be familiar with.

1 Property, plant and equipment recognition

- Recognise items of PPE, provided future economic benefits and reliable measurement of cost – **IAS 16 (7)**
 - Initial costs to acquire or construct – **IAS 16 (10)**
 - Subsequent costs to add to, replace part of, or service
- Separate into components, with different lives eg, inspections – **IAS 16 (13)**

2 Measurement at recognition

- At cost – **IAS 16 (15)**
 - Purchase price – **IAS 16 (16)**
 - Costs directly attributable to bringing asset into location and condition necessary for it to be capable of working as intended, including testing – **IAS 16 (16-17)**
 - Costs to dismantle/restore – **IAS 16 (16)**
- Some costs excluded because not directly attributable or after item is capable of working as intended, eg, abnormal costs, general overheads, initial losses, internal profits – **IAS 16 (19-22)**
- Proceeds of testing presented in profit or loss – **IAS 16 (20A)**
- Can include interest – **IAS 16 (22)**

3 Measurement after recognition

- Choice of model: cost or revaluation to fair value – **IAS 16 (29-31)**
- Frequency: to ensure carrying amount not materially different from updated fair value – **IAS 16 (31)**
 - Maximum interval five years? – **IAS 16 (34)**
- All assets in a single class must be treated in the same way – **IAS 16 (36)**

4 Accounting for revaluations

- Gain recognised in other comprehensive income and accumulated in equity as part of revaluation surplus, so in statement of changes in equity – if reverse previous decrease, take to profit or loss to extent of that decrease – **IAS 16 (39)**

- Loss direct to profit or loss – if reverse previous increase, recognised in other comprehensive income and reduce revaluation surplus to extent of that increase – **IAS 16 (40)**
- Depreciation charge based on revalued amount
- Annual reserve transfer re excess of actual depreciation over historical cost depreciation – **IAS 16 (41)**

5 Depreciation

- Each significant part of PPE item depreciated separately – **IAS 16 (43)**
- Charge to profit or loss, unless included in inventory, construction contract or other PPE – **IAS 16 (48)**
- Depreciate depreciable amount (ie, cost less residual value (RV)) over estimated useful life (UL) – **IAS 16 (6)**
 - RV is current estimate of disposal proceeds, net of disposal costs, if item already of the age and in condition expected at the end of UL – **IAS 16 (6)**
 - UL is period over which asset expected to be available for use, commencing with when asset is available for use – **IAS 16 (6 and 55)**
- Method should allocate depreciable amount systematically over useful life, so as to reflect consumption of future economic benefits – **IAS 16 (60-61)**
- Annual reviews of RVs, ULs and depreciation methods – **IAS 16 (51 and 61)**
 - Any changes accounted for prospectively – **IAS 16 (51 and 61)**

6 Derecognition

- Derecognise non-current asset when classified as held for sale or when no future economic benefits expected – **IAS 16 (67)**
 - Separate procedures where held for sale – see below
- Proceeds less carrying amount taken to profit or loss – **IAS 16 (68)**
- Revalued assets: – **IAS 16 (41)**
 - Recycling of gains on disposal not permitted
 - Reserve transfer re previously recognised gains now realised – **IAS 16 (73, 74 and 77)**

7 Disclosures

- Measurement bases
- Depreciation methods
- Useful lives or depreciation rates
- Gross, accumulated depreciation and net amounts at start and end of period
- Additions, disposals, acquisitions through business combinations, revaluations, impairments, depreciation, classification as held for sale
- Assets pledged as security for loans and contractual commitments to acquire PPE
- For revalued assets, the dates, whether independent valuer used, assumptions, reference to active markets/recent transactions, carrying amount under historical cost convention, revaluation surplus

8 Borrowing costs

- Core principle – **IAS 23 (1 and 8)**
- Directly attributable borrowing costs – **IAS 23 (10-11)**

- Commencement of capitalisation – **IAS 23 (17-19)**
- Cessation of capitalisation – **IAS 23 (22-25)**
- Disclosure

9 Impairment

- At each reporting date assess whether indication of impairment: – **IAS 36 (9)**
 - If so, estimate recoverable amount
 - Recoverable amount is higher of fair value less costs to sell and value in use (present value of future cash flows in use and on disposal) – **IAS 36 (6)**
- Review both external and internal information for evidence of impairment – **IAS 36 (12)**
- Calculation of value in use to be on reasonable and supportable bases – **IAS 36 (33)**
- Impairment loss where carrying amount exceeds recoverable amount – **IAS 36 (59)**
- Treat impairment loss as a revaluation loss: – **IAS 36 (60-61)**
 - Treat as revaluation gain if impairment loss subsequently reversed
- Depreciate revised carrying amount over remaining useful life – **IAS 36 (63)**
- Disclosures:
 - All impairments:
 - The amount of any impairment loss recognition/reversal in profit or loss (and the line item where included) and in statement of changes in equity – **IAS 26 (126)**
 - For a material impairment on an individual asset:
 - The events which led to the recognition/reversal
 - The amount
 - The nature of the asset and, if relevant, the reportable segment to which it belongs – **IAS 36 (130)**
 - Whether the recoverable amount is the fair value less costs to sell or its value in use, with information about how it was calculated

10 Non-current assets held for sale

- Non-current asset classified as held for sale when carrying amount recovered principally through sale – **IFRS 5 (6)**
 - Must be available for immediate sale and sale (within 12 months of classification) must be highly probable – **IFRS 5 (7)**
 - If meet criteria after end of the reporting period, a non-adjusting event under IAS 10 – **IFRS 5 (12)**
- Measured at lower of carrying amount and fair value less costs of disposal – **IFRS 5 (15)**
 - Any loss accounted for under IAS 36 (any gain is recognised on actual disposal) – **IFRS 5 (20)**
 - Not depreciated – **IFRS 5 (25)**
- Presented separately from all other assets, immediately below the sub-total for current assets – **IFRS 5 (18)**
- Different rules if asset previously revalued:
 - Revalue before classification, with gain/loss accounted for under IAS 16
 - Costs of disposal = impairment loss
- Measurement and presentation of non-current assets to be abandoned per IAS 16, not IFRS 5 – **IFRS 5 (13)**

Self-test questions

Answer the following questions.

1 IAS 16

Per IAS 16, *Property, Plant and Equipment*, which three of the following should be capitalised as part of the cost of an asset?

- A Stamp duty
- B Employee costs related to site selection activities
- C Cost of site preparation and clearance
- D Installation costs

2 Max plc

Max plc has incurred the following expenditure in 20X0 in respect of its non-current assets.

	CU
Servicing of plant and equipment	25,000
Repainting of warehouse	40,000
Modification of an item of plant in order to increase its capacity	12,000
Upgrading of machine parts to improve quality of product	7,500

Requirement

In 20X0 what will be the charge for repairs and maintenance in the statement of profit or loss in accordance with IAS 16, *Property, Plant and Equipment*?

3 Patty Ltd

Patty Ltd purchased freehold land and buildings on 1 July 20W3 for CU380,000 including CU80,000 for the land. The buildings had been depreciated at the rate of 4% pa on cost for each of the 10 years to 30 June 20X3. On 1 July 20X3 the property was professionally revalued at CU800,000 including

CU200,000 for the land, an amount which was reflected in the accounts. At 1 July 20X3 it was estimated that the building had a remaining useful life of 20 years and a residual value of CU100,000.

Requirements

- 3.1 In accordance with IAS 16, *Property, Plant and Equipment*, what should the surplus on revaluation be on 1 July 20X3?
- 3.2 In accordance with IAS 16, what is the carrying amount of the freehold land and buildings on 30 June 20X4?

4 Rolax plc

On 1 January 20X9 Rolax plc borrowed CU3 million to finance the production of two assets, both of which took a year to build. Work started during 20X9. The loan facility was drawn down and incurred on 1 January 20X9, and was used as follows, with the remaining funds invested temporarily.

	Asset A CU	Asset B CU
1 January 20X9	500,000	1,000,000
1 July 20X9	500,000	1,000,000
The loan rate was 9% pa and Rolax plc can invest surplus funds at 7% pa.		

Requirement

Calculate the borrowing costs which must be capitalised for each of the assets and consequently the cost of each asset as at 31 December 20X9.

5 Webster plc

Webster plc had the following loans in place at the beginning and end of 20X6.

	1 January 20X6 CUm	31 December 20X6 CUm
10% Bank loan repayable 20X8	120	120
9.5% Bank loan repayable 20X9	80	80

On 1 January 20X6, Webster plc began construction of a qualifying asset, a low-emissions industrial machine, using existing borrowings. Expenditure drawn down for the construction was: CU30 million on 1 January 20X6, CU20 million on 1 October 20X6.

Requirement

What is the amount of borrowing costs that are capitalised as part of the cost of the machine?

6 Paris Ltd

Paris Ltd has a freehold property carried at a revalued amount of CU175,000. Due to a slump in property prices its recoverable amount is now estimated to be only CU150,000. Its historical cost carrying amount is CU160,000.

Requirement

How should the above fall in value be reflected in the financial statements in accordance with IAS 16,

Property, Plant and Equipment?

7 Dempster Ltd

On 1 June 20X6 Dempster Ltd bought a new factory. The building has an estimated useful life of 50 years, but the roof will require replacing after 25 years. The cost of replacement is currently

CU100,000. The total price of the factory was CU1,000,000.

Requirement

In accordance with IAS 16, *Property, Plant and Equipment* what should the depreciation charge be for the year ended 31 May 20X7?

8 Lydd Ltd

On 1 January 20X1 Lydd Ltd purchased production machinery costing CU100,000, having an estimated useful life of 20 years and a residual value of CU2,000. On 1 January 20X7 the remaining useful life of the machinery is revised and estimated to be 25 years, with an unchanged residual value.

Requirement

What should the depreciation charge on the machinery be in the year ended 31 December 20X7?

9 Propane plc

Propane plc are undertaking an impairment review of assets following IAS 36, *Impairment of Assets*. Investigations have uncovered the following:

Asset R has a carrying amount of CU60,000, a value in use of CU65,000 and a fair value less costs of disposal of CU30,000.

Asset Q has a carrying amount of CU100,000, a value in use of CU92,000 and a fair value less costs of disposal of CU95,000.

Requirement

In accordance with IAS 36, *Impairment of Assets* what amount should be recognised as an impairment loss in relation to these two assets?

10 Apollo Ltd

Apollo Ltd has a year end of 31 December. On 30 October 20X4 it classified an item of plant as held for sale. The plant is accounted for under the cost model and had a carrying amount of CU13,200 at 1 January 20X4. Depreciation for the period to 31 October 20X4 has been calculated as CU1,200. Its fair value was estimated at CU11,100 and the costs of disposal at CU500.

On 15 December 20X4 the plant was sold for CU10,500.

Requirement

In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what amounts should be recognised as impairment loss and loss on disposal in profit or loss for the year to 31 December 20X4?

11 Einstein Ltd

Einstein Ltd has a year end of 30 June. On 1 June 20X5 it classified one of its freehold properties as held for sale. At that date the property had a carrying amount of CU567,000 and had been accounted for according to the revaluation model. Its fair value was estimated at CU725,000 and the costs of disposal at CU3,000.

Requirement

In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what amounts should be recognised in the financial statements for the year to 30 June 20X5?

12 Arnold Ltd

Arnold Ltd is an e-commerce business and bought a storage warehouse 1 October 20X1 for CU200,000. It was being depreciated over 20 years on the straight-line basis. On 1 October 20X3, the warehouse was revalued to CU270,000. Subsequently, on 30 September 20X7 Arnold Ltd had outgrown the warehouse and it was classified as held for sale. Its fair value was estimated at CU190,000 with costs of disposal of CU5,000.

Requirements

12.1 In accordance with IAS 16, *Property, Plant and Equipment* and assuming that a reserves transfer is made, what should the balance on the revaluation surplus be at the year end of 30 September 20X4?

- 12.2 In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what should the loss recognised in profit or loss for the year ended 30 September 20X7 be on classification as held for sale?

13 Maine Ltd

The following information was disclosed in the financial statements of Maine Ltd for the year ended 31 December 20X2.

	Plant and equipment	
	20X2	20X1
	CU	CU
Cost	735,000	576,000
Accumulated depreciation	(265,000)	(315,000)
Carrying amount	<u>470,000</u>	<u>261,000</u>
During 20X2		
Expenditure on plant and equipment		512,000
Impairment loss on reclassification of old plant as held for sale		50,000
Loss on the disposal of old plant		57,000
Depreciation charge on plant and equipment		143,000

Requirement

In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what were the sales proceeds received on the disposal of the old plant?

14 Porsche plc

Porsche plc has the following non-current assets at 1 January 20X7.

	Cost	depreciation	Accumulated Carrying amount
	CU'000	CU'000	CU'000
Freehold factory	1,440	144	1,296
Plant and equipment	1,968	257	1,711
Motor vehicles	449	194	255
Office equipment and fixtures	<u>888</u>	<u>583</u>	<u>305</u>
	<u>4,745</u>	<u>1,178</u>	<u>3,567</u>

You are given the following information for the year ended 31 December 20X7.

- (1) The factory was acquired on 1 January 20X2 and is being depreciated over 50 years.
- (2) Depreciation on other items has been calculated on cost on a straight-line basis. The rates used are 20% for office equipment and fixtures, 25% for motor vehicles and 10% for plant and equipment. The directors decided to change the method of depreciating motor vehicles to 30% reducing balance to give a more relevant presentation of the results and of the financial position.

- (3) On 1 January 20X7 the factory was revalued to its fair value of CU2.2 million and a new storage unit was acquired on that date at a cost of CU500,000, which immediately became available for use. The directors wish to incorporate the revaluation into the accounts.
- (4) Two electric cars costing CU17,500 each were bought on 1 January 20X7. Plant and equipment for the factory extension cost CU75,000 and office equipment and fixtures cost CU22,000 on this date.
- (5) When reviewing the expected lives of plant and equipment, the directors felt that it was necessary to reduce the remaining life of a two-year old grinding machine to four years when it is expected to be sold for CU8,000 as scrap. The machine originally cost CU298,000 and at 1 January 20X7 had related accumulated depreciation of CU58,000.

Requirements

- 14.1 Prepare the disclosure notes for property, plant and equipment for the year ended 31 December 20X7 required by IFRS Standards.
- 14.2 Briefly explain the qualitative characteristics of understandability, relevance, faithful representation and comparability contained in the *Conceptual Framework* illustrating your answer with references to the provisions of IAS 16, *Property, Plant and Equipment*.

15 Plover plc

Plover plc is a car manufacturing group and during the year ended 30 September 20X9 the following transactions relating to property, plant and equipment took place.

- (1) New factory premises were finally completed and were ready for occupation on 1 March 20X9. Production was not transferred to the factory until 31 August 20X9 due to a dispute with the labour force arising from proposed redundancies.
Capitalised costs relating to the factory were CU1.1 million (including land of CU600,000) at 1 October 20X8, and the 'Costs incurred' table below shows the costs that have been incurred since then.
- (2) On 1 March 20X9, plant and machinery for a new highly computerised production and assembly line became available for use in the factory. The external costs relating to this were CU800,000 and in addition the company also incurred the following:
 - Labour costs of CU80,000 in installing the line (these were 20% higher than budgeted because of the impact of industrial disputes)
 - Management and supervision costs (allocation) of CU15,000
 - Start-up costs of CU30,000 incurred in testing the new process. CU20,000 of these were necessary to ensure the line operated correctly. The remaining CU10,000 was incurred when the directors held an 'open day' for their bankers to demonstrate the efficiency of the new system.
- (3) The company still owns and uses part of the old factory but on 30 September 20X9 it was classified as held for sale. It is expected to be sold by 31 December 20X9 for CU200,000 (after spending CU25,000 to generally improve the property). The carrying amount of the factory at 1 October 20X8 is CU310,000 (cost CU500,000).
Depreciation rates are:
Freehold land and buildings: 2% pa Plant and machinery: 20% pa
- (4) Plover plc's head office building was acquired on 1 October 20X2 for CU1.5 million and depreciated at 2% pa.

On 1 October 20X6 it was revalued to CU2.1 million. Plover plc did not make any reserve transfers for the additional depreciation.

Following a severe fall in the property market, Plover plc's valuers advised at 30 September 20X9 that the fair value of the building was CU1.7 million.

Costs incurred

	CU'000
Further construction costs	125
Additional legal fees	25
Management and supervision costs (allocation)	75

Requirements

- 15.1 Prepare extracts from the statement of financial position in relation to the above as at 30 September 20X9 and draft the note showing the movements on property, plant and equipment for the year (working to the nearest CU000).
- 15.2 Calculate the impairment loss arising on classifying the old factory as held for sale.
- 15.3 Plover plc had profit for the year ended 30 September 20X9 of CU25.6 million, before adjusting for the impairment loss on the old factory.

Prepare the separate statement of profit or loss and other comprehensive income for the year.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

	CU
Site preparation	400,000
Net income while site used as a car park (Incidental, so taken to profit or loss)	-
Materials used (2,000,000 - 300,000)	1,700,000
Labour costs (4,000,000 - 500,000)	3,500,000
Testing of facility's processes	300,000
Net proceeds on sale of by-products (presented in profit or loss)	-
Consultancy fees re installation and assembly	500,000
Professional fees	450,000
Opening of facility	-
Overheads incurred	
Construction	800,000
General	
Relocation of staff to new facility	-
Cost of dismantling facility	750,000
	<u>8,400,000</u>
Allocated to components:	
Safety inspection	150,000
To be replaced in eight years (40% × (8,400,000 - 150,000))	3,300,000
Remainder	<u>4,950,000</u>
	8,400,000

Answer to Interactive question 2

In this scenario the key dates are as follows:

- Expenditure on the acquisition is incurred on 1 February.
- Borrowing costs start to be incurred from 1 February.
- Activities to prepare the building for intended use/sale (work on planning permission) were carried out during December and January.

The earliest date when all three of these conditions were met is 1 February.

Answer to Interactive question 3

Annual charge re:		CU
Safety inspection - Over three years	(150,000/3)	50,000
Components to be replaced in eight years - Over eight years	(3,276,000/8)	409,500
Remainder - Over 20 years	(4,914,000/20)	245,700
		<u>705,200</u>

Answer to Interactive question 4

	Year 1	Year 2	Year 3
	CU	CU	CU
Cost	1,000	1,000	1,000
Accumulated depreciation	(80)	(160)	(320)
Carrying amount	920	840	680
Charge for the year (W)	80	80	160

WORKING

Charge for the year

	Year 1	Year 2	Year 3
Depreciation charge	<u>1,000–200</u>	<u>1,000–200</u>	<u>840–200</u>
	10	10	4

Answer to Interactive question 5

The revaluation gain on 1 January 20X7 is CU35,000 (60,000 – 25,000).

If the previous downward revaluation had not taken place the carrying amount on 31 December 20X6 would have been CU50,000 (CU100,000 less five years' depreciation at CU10,000 per annum). The actual carrying amount at the date of valuation is CU25,000, hence the amount that needs to be credited to profit or loss to restate the effect of the previous revaluation decrease is CU25,000.

The 'excess' revaluation surplus recognised in the other comprehensive income is CU10,000 (35,000 – 25,000).

Answer to Interactive question 6

6.1

	CU
Cost or valuation:	
At 1 January 20X8	100,000
Classified as held for sale	<u>(100,000)</u>
At 31 December 20X8	
Depreciation:	
At 1 January 20X8 $((100,000 - 10,000)/3)$	27,000
Impairment loss	35,000
Classified as held for sale	<u>(62,000)</u>
At 31 December 20X8	

6.2 Journal entries to record the classification as held for sale Recognising the impairment

	CU	CU
DR Profit or loss	35,000	
CR PPE – accumulated depreciation		35,000

Classification as held for sale

	CU	CU
DR Non-current assets held for sale	38,000	
DR PPE – accumulated depreciation	62,000	
CR PPE – cost		100,000

6.3 Statement of profit or loss for the year ended 31 December 20X8

	CU
Impairment loss on reclassification of non-current assets held for sale $((100,000 - 27,000) - 38,000)$	35,000

6.4 Statement of profit or loss for the year ended 31 December 20X8

In the statement of profit or loss: With sales proceeds of CU32,000

- The impairment loss would remain the same.
- A loss on disposal of CU6,000 $(38,000 - 32,000)$ would be recognised in the statement of profit or loss.

Answer to Interactive question 7

7.1 Journal entry to record the classification as held for sale

	CU	CU
1 January 20X8		
PPE – accumulated depreciation $(30\% \times (100,000 - 10,000))$	27,000	
DR Non-current assets held for sale (ß)	73,000	
CR PPE – cost		100,000

As fair value less costs of disposal is greater than carrying amount, there is no impairment loss at the time of classification.

7.2 Statement of profit or loss for the year ended 31 December 20X8

	CU
Gain on disposal of non-current assets held for sale (77,000 – 73,000)	4,000

Answer to Interactive question 8

8.1 Journal entry to record the revaluation

	CU	CU
1 January 20X5		
DR PPE – at valuation	50,000	
CR Revaluation surplus (OCI)		50,000

8.2 Journal entry to record the classification as held for sale

	CU	CU
1 January 20X8		
DR Non-current assets held for sale – FV less costs of disposal (235 – 5)	230,000	
DR Profit or loss – costs of disposal	5,000	
DR Revaluation surplus (OCI) (250 – 235)	15,000	
CR PPE – at valuation		250,000

Answer to Interactive question 9

9.1 Journal to record the revaluation

	CU	CU
1 January 20X4		
DR PPE cost/valuation (136,000 – 120,000)	16,000	
DR PPE accumulated depreciation	18,000	
CR Revaluation surplus (OCI) (136,000 – 102,000)		34,000

9.2 Revised depreciation charge

	CU	CU
Annual charge from 20X4 onwards		
DR Profit or loss – depreciation expense (136,000 ÷ 17)	8,000	
CR PPE accumulated depreciation		8,000
Annual reserve transfer		
DR Revaluation surplus	2,000	
CR Retained earnings		2,000

Being the difference between the actual depreciation charge and the charge based on historical cost (CU6,000).

Shown in the statement of changes in equity as follows:

	Revaluation surplus	Retained earnings
	CU	CU
Brought forward	X	X
Profit for the year	-	X
Transfer of realised profits	(2,000)	2,000
Carried forward	X =	X =

9.3 Journal to record classification as held for sale

At 1 January 20X8, balances relating to the asset will be as follows:

	CU
Property, plant and equipment at valuation	136,000
Accumulated depreciation (4 × 8,000)	(32,000)
Carrying amount	104,000
Revaluation surplus (34,000 - (4 × 2,000))	26,000

1 January 20X8	CU	CU
DR PPE - accumulated depreciation	32,000	
DR Non-current assets held for sale - fair value less costs of disposal	137,000	
DR Profit or loss - costs of disposal	3,000	
CR PPE - cost/valuation		136,000
CR Revaluation surplus (OCI) (β)		36,000

9.4 In the statement of profit or loss:

- (1) A charge of CU3,000 will be made for the costs of disposal, classified as an impairment loss.
- (2) No profit or loss on disposal will be shown, as the asset is sold for its fair value less costs to sell.

In the statement of profit or loss and other comprehensive income:

The revaluation surplus arising from the classification as held for sale will be recognised:

	CU
Profit for the year	X
Gain on property revaluation	36,000
Total comprehensive income	X

Remaining balance on revaluation surplus is transferred to retained earnings as a reserve transfer in the statement of changes in equity:

	Revaluation surplus CU	Retained earnings CU
Brought forward	X	X
Retained profit for the year	-	X
Transfer of realised profits (26 + 36)	(62,000)	62,000
Carried forward	X	X

Answer to Interactive question 10

RSBH Ltd: Note showing movements on property, plant and equipment for the year ended 31 December 20X7

	Freehold property CU'000	Plant and machinery CU'000	Fixtures and fittings CU'000	Total CU'000
Cost/valuation				
At 1 January 20X7	1,000	700	300	2,000
Revaluation	200			200
Additions	100	400	80	580
Classified as held for sale		(360)		(360)
Disposals			(40)	(40)
At 31 December 20X7	<u>1,300</u>	<u>740</u>	<u>340</u>	<u>2,380</u>
Depreciation				
At 1 January 20X7	300	330	180	810
Revaluation	(300)			(300)
Charge for the year (W1)	26	73	48	147
Classified as held for sale (269 (W2) + 16 (W3))		(285)		(285)
Impairment loss (W3)		16		16
Disposals (W2)			(28)	(28)
At 31 December 20X7	<u>26</u>	<u>134</u>	<u>200</u>	<u>360</u>
Carrying amount				
At 31 December 20X7	1,274	606	140	2,020
At 31 December 20X6	700	370	120	1,190

WORKINGS

(1) Depreciation charge for the year

	Plant and machinery CU'000	Fixtures and fittings CU'000
Items reclassified/disposed of during year ($360 \times 10\% \times 1/4$) and ($40 \times 15\% \times 1/2$)	9	3
Items owned throughout year ($(700 - 360) \times 10\%$) and ($(300 - 40) \times 15\%$)	34	39
Items acquired during year ($400 \times 10\% \times 3/4$) and ($80 \times 15\% \times 1/2$)	30	6
	<u>—</u>	<u>—</u>
	73	48
	<u>==</u>	<u>==</u>

(2) Accumulated depreciation on items reclassified/disposed of

	CU'000	CU'000
Brought forward	260	25
Charge for year (as above)	<u>9</u>	<u>3</u>
	<u>269</u>	<u>28</u>

(3) Impairment loss on items reclassified

	CU'000
Cost	360
Accumulated depreciation (W2)	<u>(269)</u>
Carrying amount on classification as held for sale	91
Fair value less costs of disposal ($80 - 5$)	<u>(75)</u>
Impairment loss	16

Answers to Self-test questions

1 IAS 16

The correct answers are:

- A Stamp duty
- C Cost of site preparation and clearance
- D Installation costs

Per IAS 16 paragraph 16, A, C and D should be capitalised.

2 Max plc

The profit or loss charge will be:

	CU
Servicing	25,000
Repainting	<u>40,000</u>
	<u><u>65,000</u></u>

Plant modification and upgrading creates future economic benefits from the asset and should be capitalised (IAS 16: para. 7).

3 Patty Ltd

3.1 The revaluation surplus is CU540,000.

3.2 The total carrying amount of freehold land and buildings is CU775,000. WORKING

	Land CU	Buildings CU	Total CU
Cost on 1 July 20W3	80,000	300,000	380,000
10 years' depreciation ($300 \times 4\% \times 10$)	<u>80,000</u>	<u>(120,000)</u>	<u>(120,000)</u>
	80,000	180,000	260,000
Revaluation surplus	<u>120,000</u>	<u>420,000</u>	<u>540,000</u>
	200,000	600,000	800,000
Depreciation $(600 - 100) / 20$ years	<u>200,000</u>	<u>(25,000)</u>	<u>(25,000)</u>
	200,000	575,000	775,000

4 Rolax plc

	Asset A CU	Asset B CU
Borrowing costs		
To 31 December 20X9 CU1,000,000/CU2,000,000 × 9%	<u>90,000</u>	<u>180,000</u>
Less investment income		
To 30 June 20X9 CU500,000/CU1,000,000 × 7% × 6/12 months	<u>(17,500)</u>	<u>(35,000)</u>
	<u>72,500</u>	<u>145,000</u>
Cost of assets		
Expenditure incurred	1,000,000	2,000,000
Borrowing costs	<u>72,500</u>	<u>145,000</u>
	<u>1,072,500</u>	<u>2,145,000</u>

5 Webster plc

The amount of borrowing costs to be capitalised is CU3.43 million.

Capitalisation rate = weighted average rate =

$$\left(10\% \times \frac{120}{120 + 80}\right) + \left(9.5\% \times \frac{80}{120 + 80}\right) = 9.8\%$$

Borrowing costs = (CU30m × 9.8%)
+ (CU20m × 9.8% × 3/12) = CU3.43m

6 Paris Ltd

CU10,000 should be debited to profit or loss and CU15,000 should be debited to other comprehensive income.

If an asset has previously been revalued, we recognise the revaluation loss down to depreciated historic cost (175,000 - 160,000 = CU15,000) in other comprehensive income, the balance (160,000 - 150,000 = CU10,000) in profit or loss (IAS 16: para. 40).

7 Dempster Ltd

Each significant part of an item of PPE must be depreciated separately (IAS 16: para. 43).

CU900,000/50 years = CU18,000

CU100,000/25 years = CU4,000

Total depreciation CU18,000 + CU4,000 = CU22,000

8 Lydd Ltd

Carrying amount at 31 December 20X6 = 100,000 - ((100,000 - 2,000) × 6/20 years) = CU70,600

Depreciation charge in 20X7 = (70,600 - 2,000) × 1/25 years = CU2,744

9 Propane plc

An asset is impaired when the recoverable amount is lower than the carrying amount of the asset. To determine whether an asset is impaired, compare the recoverable amount to the carrying amount. The recoverable amount is the greater of the value in use and the fair value less costs of disposal.

Asset R is not impaired as recoverable amount is greater than carrying amount. Asset Q is impaired as recoverable amount of CU95,000 is lower than the carrying amount of CU100,000.

An impairment loss of CU5,000 should be recognised.

10 Apollo Ltd

Immediately before classification of the asset as held for sale, the asset should be measured in accordance with the relevant IFRS Standard, which in this case is IAS 16. The carrying amount of the asset immediately before classification is therefore CU12,000 (CU13,200 - CU1,200). On classification as held for sale, the asset should be measured at the lower of its carrying amount (CU12,000) and its fair value less costs of disposal (CU11,100 - CU500 = CU10,600). An impairment loss of CU1,400 (CU12,000 -

CU10,600) is therefore recognised on classification as held for sale.

When the asset is actually sold any further loss or gain is treated as a loss or gain on disposal. Here there is a further loss of CU100 (CU10,600 - CU10,500).

11 Einstein Ltd

Immediately before the classification as held for sale, the asset should be measured in accordance with IAS 16. As the asset is carried under the revaluation model it must be revalued to fair value immediately before the reclassification. Any gain will be recognised in other comprehensive income and taken to the revaluation surplus and any loss to profit or loss (except to the extent that it reverses a gain held in the revaluation surplus). So here, a revaluation gain is recognised of CU158,000 (CU725,000 - CU567,000) and the carrying amount of the asset immediately before classification as held for sale is CU725,000

On classification as held for sale, the asset is measured at the lower of its carrying amount (CU725,000) and the fair value less costs of disposal (CU725,000 - CU3,000). The effect is that the costs of disposal (here CU3,000) are recognised in profit or loss as an impairment loss.

12 Arnold Ltd

12.1 The balance on the revaluation surplus will be CU85,000.

	Revaluation surplus
	CU
Gain on revaluation(W)	90,000
Reserve transfer:	
New depreciation - old depreciation to 30/9/X4	
$\frac{270,000}{18} - \frac{200,000}{20}$	(5,000)
Balance at 30/9/X4	85,000

WORKING

Gain on revaluation

	CU
Cost	200,000
Less depreciation ($200,000 \times 2/20$ years)	<u>(20,000)</u>
Carrying amount at revaluation	180,000
Gain on revaluation	<u>90,000</u>
Valuation	<u>270,000</u>

WORKING

Gain on revaluation

	CU
Cost	200,000
Less depreciation ($200,000 \times 2/20$ years)	<u>(20,000)</u>
Carrying amount at revaluation	180,000
Gain on revaluation	<u>90,000</u>
Valuation	<u>270,000</u>

12.2 The loss recognised in profit or loss will be CU5,000.

	CU
At 30 September 20X7:	
Revalued amount	270,000
Depreciation ($270,000 \times 4/18$ years)	<u>(60,000)</u>
Carrying amount on reclassification	210,000
Revalue to fair value	<u>(190,000)</u>
Loss to revaluation surplus through OCI	20,000
Revaluation surplus at 30 September 20X4	85,000
Reserve transfer	
New depreciation – old depreciation ($5,000 \times 3$ years)	<u>(15,000)</u>
Revaluation surplus at 30 September 20X7	70,000
Impairment loss	<u>(20,000)</u>
Balance c/f (transfer to retained earnings on disposal)	<u>50,000</u>

Because there was a sufficient balance on the revaluation surplus in respect of this asset to which the loss could be charged, the only impairment loss taken to profit or loss is the costs of disposal of CU5,000.

13 Maine Ltd

The disposal proceeds were CU53,000.

PLANT AND EQUIPMENT ACCOUNT (CARRYING AMOUNT)

	CU		CU
B/f	261,000	Depreciation	143,000
Additions	512,000	Loss on disposal	57,000
		Impairment loss	50,000
		Disposal proceeds (β)	53,000
		C/f	470,000
	<u>773,000</u>		<u>773,000</u>

14 Porsche plc

14.1 Notes to the financial statements for the year ended 31 December 20X7 (extracts)

(1) Accounting policies Property, plant and equipment

Freehold land and buildings are stated at a valuation. Other tangible non-current assets are stated at cost, together with any incidental expenses of acquisition.

Depreciation is calculated so as to write off the net cost or valuation of tangible non-current assets over their expected useful lives. Depreciation charges commence when an asset becomes available for use. The rates and bases used are as follows.

Asset	% pa	Basis
Freehold land and buildings	2%	Straight-line
Plant and equipment	10%	Straight-line
Office equipment and fixtures	20%	Straight-line
Motor vehicles	30%	Reducing-balance

(2) Operating profit is stated after charging

	CU
Depreciation of property, plant and equipment	<u>562,000</u>

(3) Property, plant and equipment

	Freehold land and buildings CU'000	Plant and equipment CU'000	Motor vehicles CU'000	Office equipment and fixtures CU'000	Total CU'000
Cost or valuation					
At 1 January 20X7	1,440	1,968	449	888	4,745
Additions	500	75	35	22	632
Revaluations (W1)	760				760
At 31 December 20X7	2,700	2,043	484	910	6,137
Depreciation					
At 1 January 20X7	144	257	194	583	1,178
Revaluation adjustment (W1)	(144)				(144)
Charge for year	60 (W2)	233 (W5)	87 (W3)	182 (W4)	562
At 31 December 20X7	60	490	281	765	1,596
Carrying amount					
At 31 December 20X7	2,640	1,553	203	145	4,541
At 1 January 20X7	1,296	1,711	255	305	3,567

- (4) Freehold land and buildings were valued for the purposes of the 20X7 accounts at fair value, with subsequent additions at cost. Their historical cost is CU1,940,000 (W6) and the related accumulated depreciation is CU183,000 (W6).
- (5) The company's depreciation policy on motor vehicles has been changed from a rate of 25% pa on cost to a rate of 30% pa on reducing balance in order to give a more relevant presentation of the results and of the financial position. The effect of this change has been to reduce the depreciation charge for the year by CU34,000 (CU121,000 - CU87,000).

14.2 Qualitative characteristics and IAS 16 Understandability

The enhancing qualitative characteristic of understandability requires the preparers of the financial statements to present and classify information clearly and concisely in order to make it understandable to the users.

For example, IAS 16 requires disclosures to be given by each class of property, plant and equipment so it will be clear what type of assets have been purchased during the year and what types of assets have been sold. If this information were merged over one class it would be less clear to the users of the financial statements, which assets were of the most significant value. This would be especially useful where specialised machinery or buildings were held on the statement of financial position, as these are usually the assets with the most significant value.

Relevance

Relevance is a fundamental qualitative characteristic. Relevant financial information is capable of making a difference in the decisions made by users. Financial information is capable of

making a difference in the decisions of users if it has predictive or confirmatory value, or both of these attributes.

The choice of the revaluation model as a measurement model in IAS 16 provides relevant information by showing up-to-date values. This will give the user information as to what the entity's underlying assets are worth. PPE with a significant value or the acquisition of new assets should indicate to the user that the company expects to increase its revenue in the coming accounting periods. This is because PPE is recognised when it is probable that future economic benefits associated with the item will flow to the entity under IAS 16.

Faithful representation

Information is a faithful representation of the performance and position of the entity if it is complete, neutral and free from error.

Although the revaluation model gives relevant information this information is generally seen to be less reliable than the cost model – the other measurement model allowed by IAS 16. The cost model is based on historic costs, which are not the most relevant costs on which to base future decisions. However, historic cost is a faithful representation being based on fact.

However, historic cost is a faithful representation being based on fact.

Comparability

Comparability is the qualitative characteristic that enables users to identify and understand similarities in, and differences between items. Users must be able to compare information with that of previous periods or with that of another entity. Consistency, although important and helpful for achieving the goal of comparability, is not the same as comparability. For example, it may be required to revise the depreciation method (in line with IAS 8), but a change in methods will not be consistent. However, an explanation as to the reasons for the change will assist with the user being able to compare the results year on year.

IAS 16 allows comparability between the cost and the revaluation model (for example, to facilitate comparisons between two companies who have adopted different models) by requiring equivalent cost information to be disclosed under the revaluation model. It also requires disclosures (in accordance with IAS 8) of the effect of a change in an accounting estimate such as useful lives or depreciation rates. This facilitates comparison between different periods.

WORKINGS

(1) Freehold land and buildings revaluation

	CU'000	CU'000
DR Freehold land and buildings (β)	760	
DR Accumulated depreciation ($1,440 \times 5/50$)	144	
CR Revaluation surplus (OCI) ($2,200 - 1,296$)		904

(2) Freehold land and buildings depreciation charge

Valuation/cost at 1 January 20X7	CU2,700,000
Remaining useful life	45 years
Annual depreciation charge	<u>CU60,000</u>

(3) Motor	
(3) Motor vehicles depreciation charge	CU'000
Carrying amount at 1 January 20X7	255
Additions	<u>35</u>
	290
Depreciation - reducing balance method @ 30%	<u>87</u>
(4) Fixtures and fittings depreciation charge	CU'000
Cost at 31 December 20X7	910
Depreciation - straight-line method @ 20%	182
(5) Plant and equipment depreciation charge	CU'000
Cost at 1 January 20X7	1,968
Less Grinding machine	(298)
Add Purchases for factory extension	<u>75</u>
	1,745
Depreciation - straight-line method @ 10%	175
Grinding machine - cost less residual value (298 - 8)	290
Accumulated depreciation at 1 January 20X7	<u>(58)</u>
Carrying amount	<u>232</u>
The carrying amount must be written off over the machine's remaining useful life of four years. Depreciation is therefore CU 232,000 / 4 yrs = CU 58,000	
	CU
Total depreciation charge for plant	CU'000
Grinding machine	58
Other plant	<u>175</u>
	<u>233</u>
(6) Historical cost depreciation on freehold land and buildings	CU'000
Cost at 1 January 20X7	1,440
Addition - extension	<u>500</u>
Cost at 31 December 20X7	1,940
Accumulated depreciation at 1 January 20X7	144
Depreciation charge at 2%	<u>39</u>
Accumulated depreciation at 31 December 20X7	<u>183</u>

15 Plover plc

15.1 Financial statement extracts

Statement of financial position as at 30 September 20X9

	CU'000	CU'000
ASSETS		
Non-current assets		
Property, plant and equipment (Note)		<u>3,726</u>
		X
Current assets	X	
Non-current assets held for sale (200 – 25)	<u>175</u>	<u>X</u>
		<u>X</u>
EQUITY		
Revaluation surplus (720 – 263 (W5))		<u>457</u>

Notes to the financial statements

Property, plant and equipment

	Head office	Factory premises	Plant and equipment	Assets in the course of construction	Total
	CU'000	CU'000	CU'000	CU'000	CU'000
Cost/valuation					
At 1 October 20X8	2,100	500	-	1,100	3,700
Additions (W1, W2)	-	-	887	150	1,037
Transfers	-	1,250	-	(1,250)	-
Classified as held for sale	-	(500)	-	-	(500)
Revaluation loss (W5)	<u>(400)</u>				<u>(400)</u>
At 30 September 20X9	<u>1,700</u>	<u>1,250</u>	<u>887</u>		<u>3,837</u>
Depreciation					
At 1 October 20X8 (W4, 5)	91	190	-	-	281
Charge for the year (W3)	46	18	103	-	167
Impairment loss (part 2)	-	125	-	-	125
Classified as held for sale (125 (part 2) + 200 (W4))	-	(325)	-	-	(325)
Revaluation loss (W5)	<u>(137)</u>				<u>(137)</u>
At 30 September 20X9		<u>8</u>	<u>103</u>		<u>111</u>
Carrying amount					
At 30 September 20X9	<u>1,700</u>	<u>1,242</u>	<u>784</u>		<u>3,726</u>
At 1 October 20X8	<u>2,009</u>	<u>310</u>		<u>1,100</u>	<u>3,419</u>

15.2 Impairment loss

	CU'000
Carrying amount brought forward	310
Depreciation to 30 September(W3)	<u>(10)</u>
	300
Recoverable amount (200 - 25)	<u>(175)</u>
Charge to profit or loss	<u>125</u>

15.3 Statement of profit or loss and other comprehensive income for the year ended 30 September 20X9

	CU'000
Profit for the year (25,600 - 125)	25,475
Other comprehensive income:	
Loss on property revaluation (400 - 137)	<u>(263)</u>
Total comprehensive income for the year	<u>25,212</u>

WORKINGS

(1) Additions to new factory

	CU'000
Construction costs	125
Legal fees	<u>25</u>
	<u>150</u>

(2) Additions to plant and equipment

	CU'000
External costs	800
Labour (80,000 × 100/120)	67
Start-up costs	<u>20</u>
	<u>887</u>

(3) Depreciation

	CU'000
Head office (W5)	<u>46</u>
New factory ((1,250 - 600) × 2% × 7/12 months)	8
Old factory (500 × 2%)	<u>10</u>
	<u>18</u>
Plant and equipment (887 × 20% × 7/12 months)	<u>103</u>

(4) **Old factory accumulated depreciation**

	CU'000
Brought forward at 1 October20X8(500 – 310)	190
Charge for year (W3)	<u>10</u>
	<u>200</u>

(5) **Head office revaluation**

	CU'000
Original cost	1,500
Depreciation (Four years at 2%)	<u>(120)</u>
Carrying amount at 1 October20X6	1,380
Revaluation gain	<u>720</u>
Revalued amount at 1 October20X6	2,100
Depreciation (2,100/46 × 2)	<u>(91)</u>
Balance at 1 October20X8	2,009
Depreciation (2,100/46)	<u>(46)</u>
Revaluation loss (400 – 91 – 46)	<u>(263)</u>
Carrying amount 30 September20X9	<u>1,700</u>

Note: As the carrying amount has not fallen below original cost less depreciation to date on original cost, the fall in value will be debited to the revaluation surplus and recognised in other comprehensive income.

